AEROSPACE & DEFENSE

Civil Aerospace Sector Presentation

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Summary

Clouded sky – relative preference for engine OEMs over airframers

- The sector has been very volatile (~flat YTD) in the wake of the ME conflict and feared knock-on effects on air traffic, input costs, and supply chains. While the situation remains fluid, we look at the structural drivers – air traffic growth vs GDP at ~2x plus superior growth in service – suggesting ~10% OSG in the mid-term.
- Considering each company's business model, valuation (vs hist. and rel. to peers) and potential impact on Cons, we rate Rolls-Royce and MTU Outperform (potential catalyst: CMD in Nov), while – after the recent recovery – we see limited upside at Safran (=). We are Neutral on Airbus as crystallization of value could take time, supply chain risks might resurface and key catalysts have played out after the business update in July. We are Underperform on Melrose.

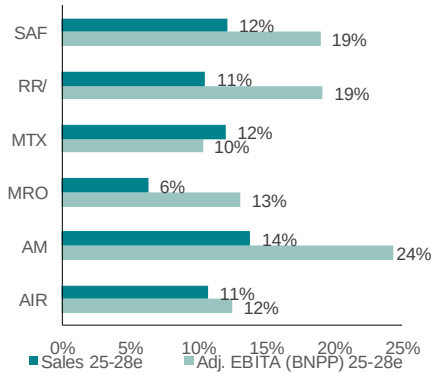
KPI	Airbus (AIR), =					Melrose Industries (MRO), -					MTU (MTX), +					Rolls-Royce (RR/), +					Safran (SAF), =				
Profile																									
Snapshot																									
Profile*	#1 commercial AC & helicopter OEM					Supplier engine / aerostructures parts					Leader in engine parts, MRO specialis					WB engine #1, defense prop. systems					NB engine #1, leader in AC equip. & in				
HQ/founded/FTEs	France / 1970 / 169614					UK / 2003 / 12459					Germany / 1969 / 14300					UK / 1904 founded 1906 incorporated /					France / 1905 (predecessor company)				
Sales mix																									
Civil/defense (%)	2025: ~85-90/10-15					2025: 65/35					2025: ≥90/≤10					2025: 70/30					2025: ~80/20				
EMEA/AME/APAC	2025: 50% / 20% / 30%					2025: 32/65/3					2025: 19% / 71% / 10%					2025: 46/31/23					2025: 23% / 48% / 29%				
OE/Service	2025: 82% / 18%					2025: 48/52					2025: 16% / 84%					2025: 44/56					2025: 48% / 52%				
Management																									
CEO (born/since)	Guillaume Faury (*1967, 04/23)					Peter George Dilnot (*1968, 03/24)					Johannes Bussman (*1969, 09/25)					Tufan M. Erginbilgic (*1959, 01/23)					Olivier Andries (*1962, 06/15)				
CFO (-"-)	Thomas Toepfer (*1972, 09/23)					Ross McCluskey (*1980, 05/26)					Katja Garcia Vila (*1972, 07/25)					Helen McCabe (*1969, 08/23)					Pascal Bantegnie (*1970, 01/22)				
Key financials	**2025**	**2026e**	**2027e**	**2028e**	**2029e**	**2025**	**2026e**	**2027e**	**2028e**	**2029e**	**2025**	**2026e**	**2027e**	**2028e**	**2029e**	**2025**	**2026e**	**2027e**	**2028e**	**2029e**	**2025**	**2026e**	**2027e**	**2028e**	**2029e**
P&L																									
Sales	73,420	79,404	88,149	99,666	110,656	3,589	3,759	4,013	4,313	4,636	8,763	9,583	10,919	12,325	13,327	21,207	24,169	26,711	28,635	ND	31,329	36,478	39,972	44,187	47,987
Adj. EBITA (BNPP)	7,135	7,092	8,321	10,156	11,886	632	674	780	914	1,053	1,135	1,191	1,365	1,524	1,668	3,298	4,520	5,136	5,581	ND	4,864	6,304	7,123	8,190	9,085
% sales	9.7%	8.9%	9.4%	10.2%	10.7%	17.6%	17.9%	19.4%	21.2%	22.7%	13.0%	12.4%	12.5%	12.4%	12.5%	15.6%	18.7%	19.2%	19.5%		15.5%	17.3%	17.8%	18.5%	18.9%
CAGRs																									
Sales	22-25:	8%	25-28e:	11%		22-25:	n/a	25-28e:	6%		22-25:	18%	25-28e:	12%		22-25:	n/a	25-28e:	11%		22-25:	18%	25-28e:	12%	
Adj. EBITA (BNPP)	22-25:	11%	25-28e:	12%		22-25:	n/a	25-28e:	13%		22-25:	22%	25-28e:	10%		22-25:	n/a	25-28e:	19%		22-25:	21%	25-28e:	19%	
EPS (BNPP)	22-25:	13%	25-28e:	10%		22-25:	n/a	25-28e:	16%		22-25:	27%	25-28e:	9%		22-25:	n/a	25-28e:	19%		22-25:	22%	25-28e:	23%	
Cash Flow																									
FCF	4,718	4,010	4,907	7,071	8,296	88	102	212	387	493	201	465	756	1,012	1,230	3,093	3,833	4,631	5,244	ND	3,791	4,765	4,682	5,552	6,316
FCF margin	6.4%	5.1%	5.6%	7.1%	7.5%	2.5%	2.7%	5.3%	9.0%	10.6%	2.3%	4.9%	6.9%	8.2%	9.2%	14.6%	15.9%	17.3%	18.3%		12.1%	13.1%	11.7%	12.6%	13.2%

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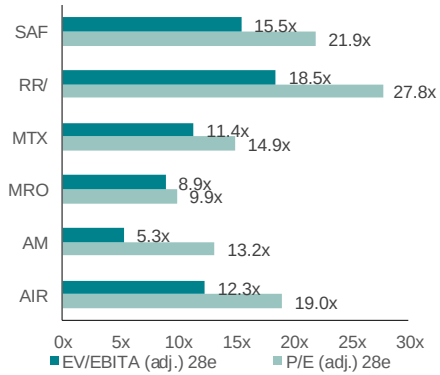
Bringing it together: RR/ & MTX most favored

KPI	AIRBUS	DASSAULT AVIATION	Melrose	MTU Aero Engines	Rolls-Royce	SAFRAN
Rating & TP						
Recommendation	Neutral	Outperform	Underperform	Outperform	Outperform	Neutral
Target price	GBP 210	EUR 350	GBPp 450	EUR 425	GBPp 1750	EUR 350
Upside to TP	7%	20%	-7%	23%	18%	6%
Consensus						
# recs, Buy/Sell %	30 / 77% / 3% 77%	18 / 50% / 6% 50%	16 / 69% / 13% 69%	25 / 56% / 16% 56%	22 / 82% / 5% 82%	25 / 56% / 8% 56%
Analysts' TP, u/s	231 18%	379 30%	662 36%	410 19%	1,747 18%	384 16%
Profile						
Snapshot						
Profile*	#1 commercial AC & helicopter OEM	Leading fighter jet & business jet OEM	Supplier engine / aerostructures parts	Leader in engine parts, MRO specialist	WB engine #1, defense prop. systems	NB engine #1, leader in AC equip. & int.
Sales mix						
Civil/defense (%)	2025: ~85-90/10-15	2025: ~40/60	2025: 65/35	2025: ≥90/≤10	2025: 70/30	2025: ~80/20
EMEA/Ame./RoW	2025: 50% / 20% / 30%	2025: 34% / 11% / 54%	2025: 32/65/3	2025: 19% / 71% / 10%	2025: 46/31/23	2025: 23% / 48% / 29%
KPIs and valuation						

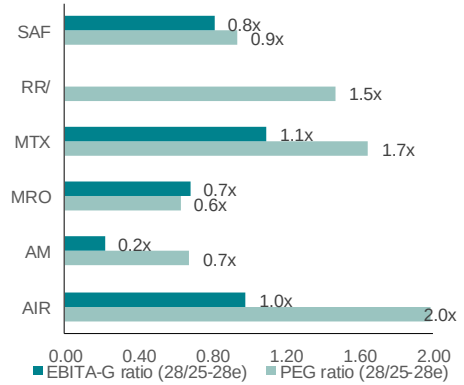
Sales and adj. EBITA CAGR 25-28e



EV/EBITA and P/E 2028e



EBITA- & price/earnings-growth ratio*



Key financials	AIRBUS 25	26e	27e	28e	DASSAULT AVIATION 25	26e	27e	28e	Melrose 25	26e	27e	28e	MTU Aero Engines 25	26e	27e	28e	Rolls-Royce 25	26e	27e	28e	SAFRAN 25	26e	27e	28e
Sales	73.4	79.4	88.1	99.7	7.4	8.7	9.8	11.0	3.6	3.8	4.0	4.3	8.8	9.6	10.9	12.3	21.2	24.2	26.7	28.6	31.3	36.5	40.0	44.2
Adj. EBITA (BNPP)	7.1	7.1	wa	10.2	0.6	0.8	1.0	1.2	0.6	0.7	0.8	0.9	1.1	1.2	1.4	1.5	3.3	4.5	5.1	5.6	4.9	6.3	7.1	8.2
% sales	9.7%	8.9%	9.4%	10.2%	8.6%	9.4%	10.2%	11.2%	17.6%	17.9%	19.4%	21.2%	13.0%	12.4%	12.5%	12.4%	15.6%	18.7%	19.2%	19.5%	15.5%	17.3%	17.8%	18.5%
FCF margin	6.4%	5.1%	5.6%	7.1%	21.7%	-4.3%	-1.6%	0.8%	2.5%	2.7%	5.3%	9.0%	2.3%	4.9%	6.9%	8.2%	14.6%	15.9%	17.3%	18.3%	12.1%	13.1%	11.7%	12.6%

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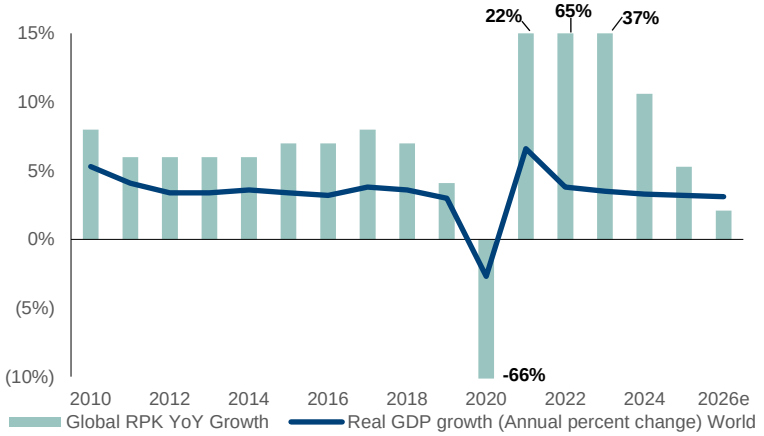
Aerospace market

Growth drivers and outlook, recap of airframers vs engines OEMs

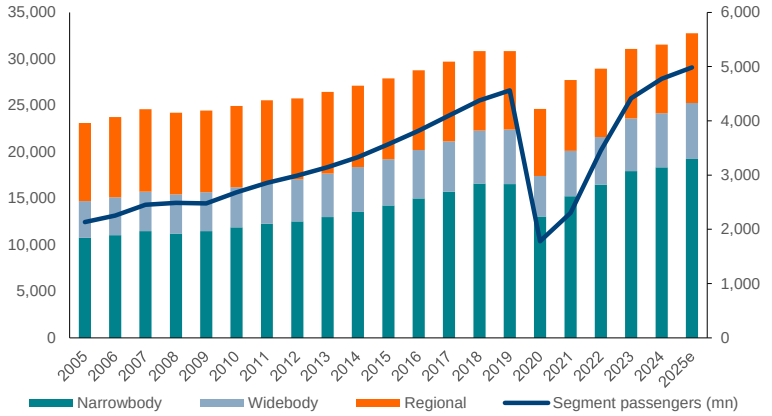
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Aerospace market – Structural growth opportunity, but… (1/2)

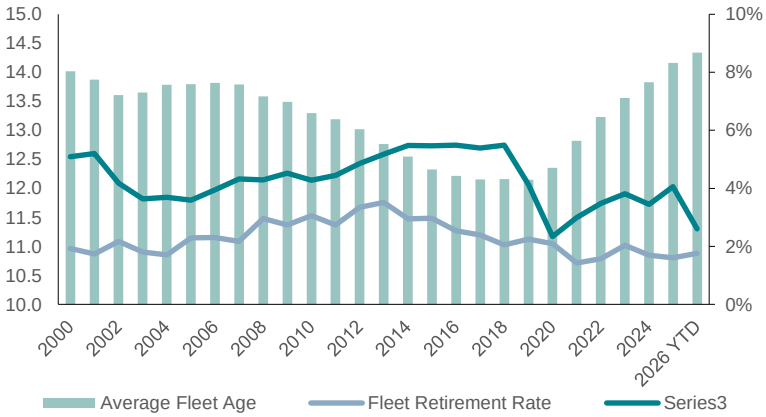
Global RPK vs real GDP growth



Commercial – pax vs active fleet size*



Avg. fleet age vs renewal/retirement rate



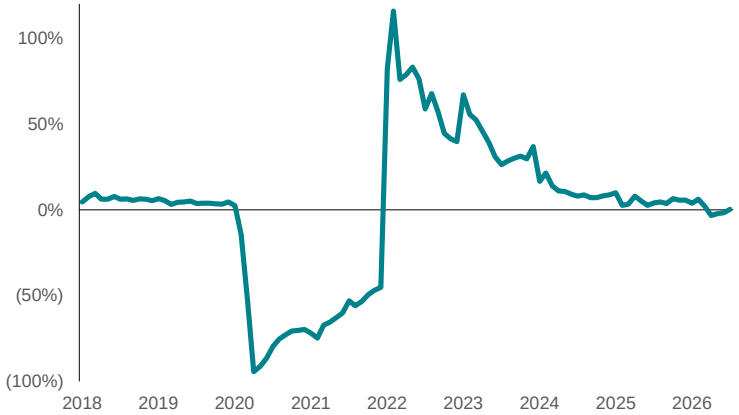
Key observations

- Relevant economic data points support MSD growth in air traffic, until recent events
- BNPP Airlines team has been modelling air traffic growth of 3%/2% in Eur./the US, until recently
- Demand for new aircraft has grown 1.5x as fast as supply, hence the commercial fleet is aging and underdeveloped vs passenger flows
- Middle East impact a short-term uncertainty?

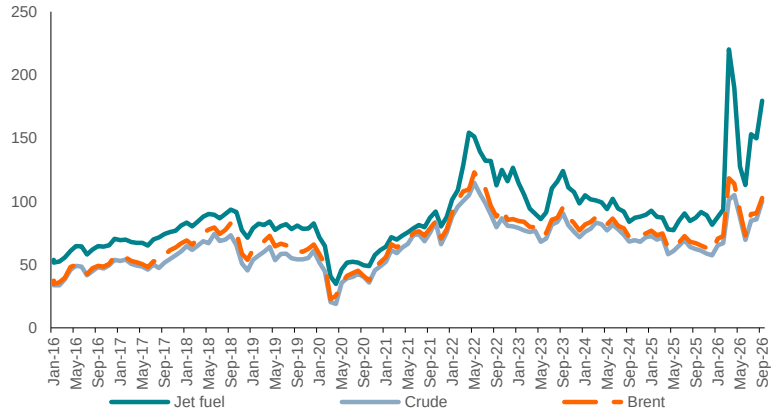
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Aerospace market – ME recap, only a short-term vola event? (2/2)

Global RPK back to positive growth in July

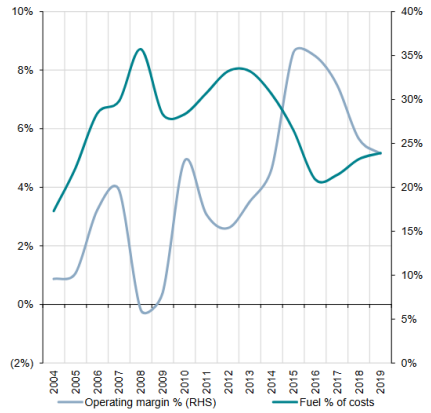


…but fuel costs have risen sharply, again…



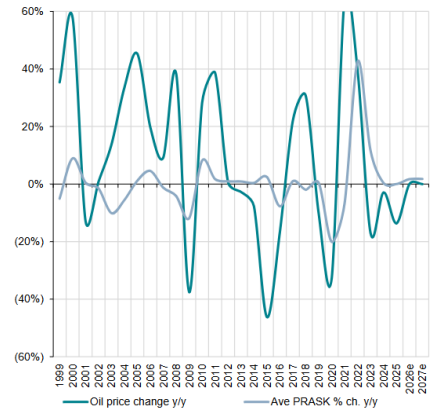
…which will eat into airlines' margins

Global Airlines EBIT margin vs. jet fuel % of costs



Source: BNP Paribas Equity Research estimates, IATA

European Airlines unit revenue vs. oil (% ch. y/y)



Source: BNP Paribas Equity Research estimates

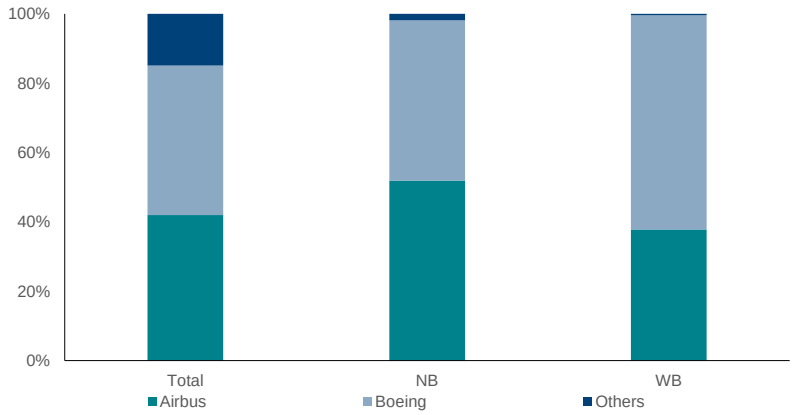
Key observations

- Jan/Feb air traffic up 5%, but 10% of all ww int. RPK for long-haul travel passed thru ME in 2025
- Airlines have been heavily negatively impacted; yet, after having been down ~20% initially, Eur./ US names are only mildly down YTD
- RPK has returned to growth in July; impact from higher fuel costs the key uncertainty
- With the situation in ME remaining fluid, credibly assessing the impact still impossible at this point

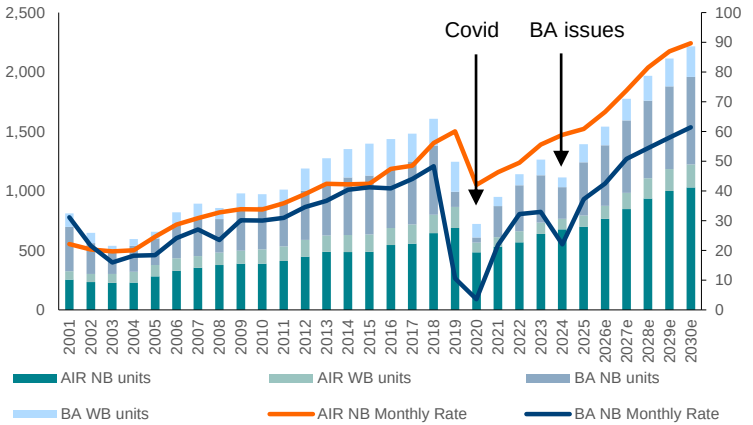
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Aerospace market – A look at the airframers

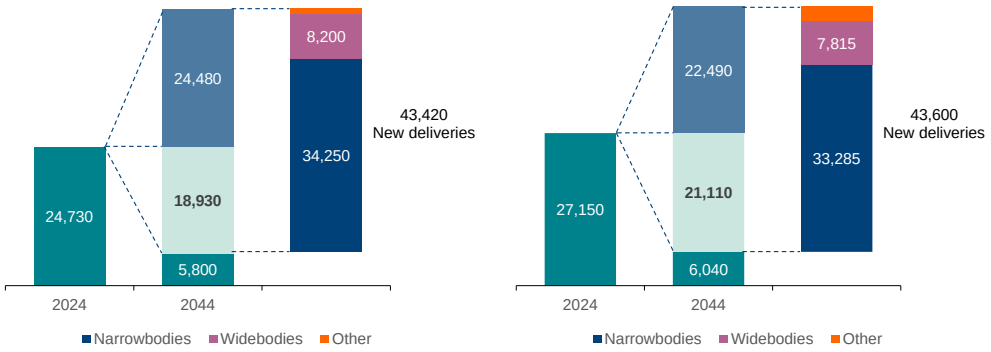
Airbus leads in NBs, Boeing in WBs



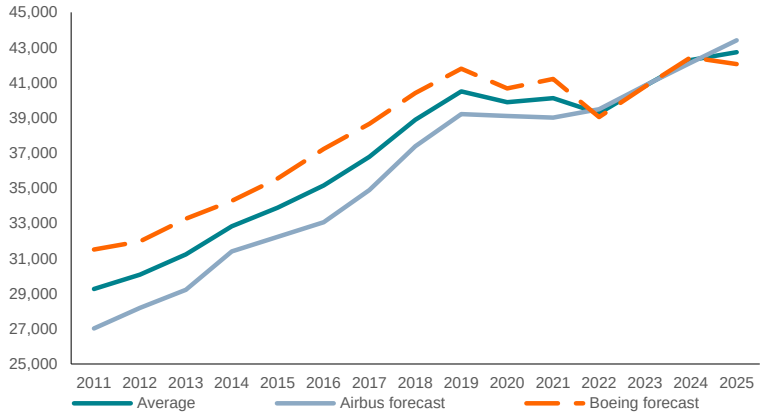
AIR has narrowed the gap in WBs



AIR/BA 20Y FW f/c is for 2-3% CAGR…



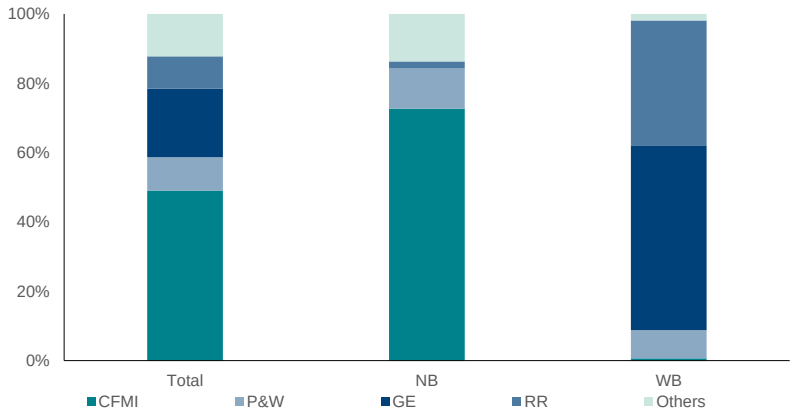
…which has historically been prudent



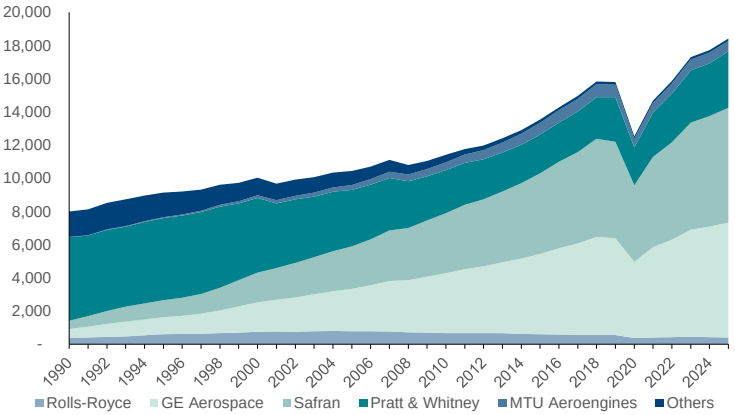
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Aerospace market – Engines the better opportunity, in our view

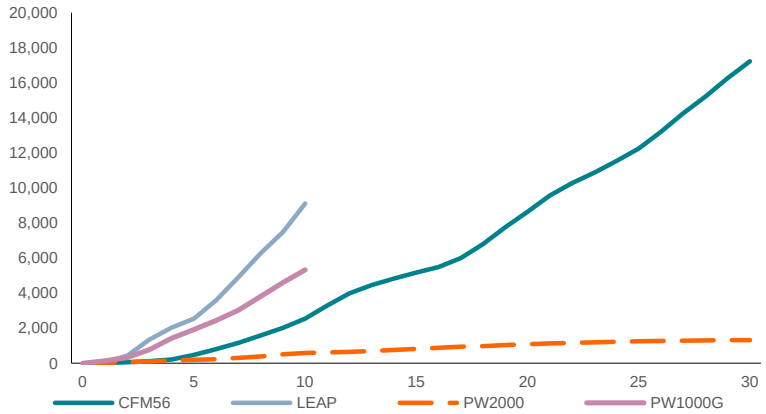
CFM dominates in NBs, GE leads in WBs



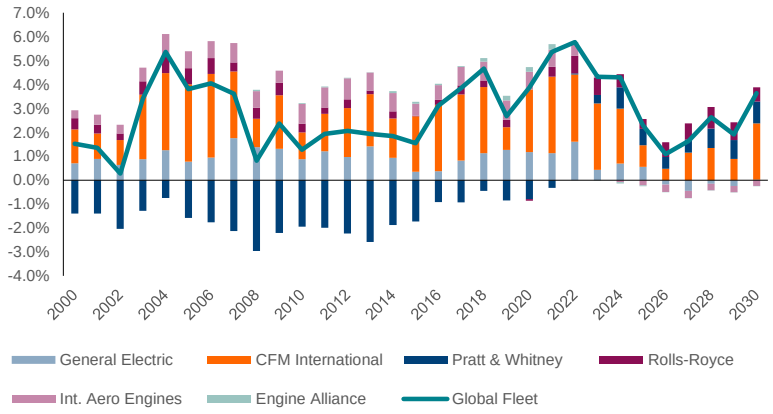
CFM has grown its share to ~70%



NB pick-up rate by engine program



6y+ old engine fleet (y/y growth)



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How has European Aerospace fared vs US peers?

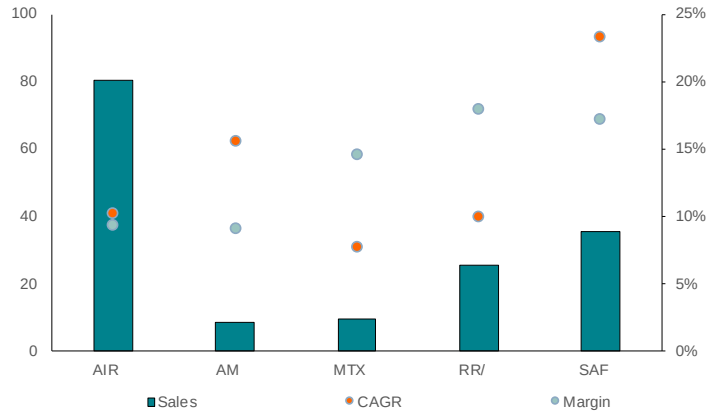
Share price performance – Europe vs US

	YTD	-1M	-3M	-6M	-1Y	-5Y
Airbus	-1%	-7%	2%	15%	2%	73%
Dassault Aviation	6%	-6%	-3%	-16%	-1%	218%
Melrose	-18%	0%	1%	-6%	-18%	28%
Montana Aero	-16%	-10%	9%	-17%	-16%	-33%
MTU	-3%	-7%	1%	3%	-4%	82%
OHB	54%	-30%	-51%	-30%	175%	368%
Rolls-Royce	28%	-4%	5%	18%	31%	1233%
Safran	11%	-6%	-1%	8%	16%	215%
Senior	0%	0%	0%	0%	0%	0%
Europe	**0%**	**-6%**	**1%**	**3%**	**2%**	**87%**
Boeing	-9%	-12%	-12%	-4%	-9%	-8%
GE	2%	-16%	-12%	4%	6%	401%
HEICO	-8%	-19%	-12%	3%	-8%	133%
Howmet	10%	-23%	-19%	-7%	18%	628%
Textron	-7%	-7%	-10%	-9%	-4%	18%
TransDigm	-19%	-13%	-19%	-10%	-16%	76%
U.S.	**-7%**	**-14%**	**-12%**	**-5%**	**-4%**	**132%**

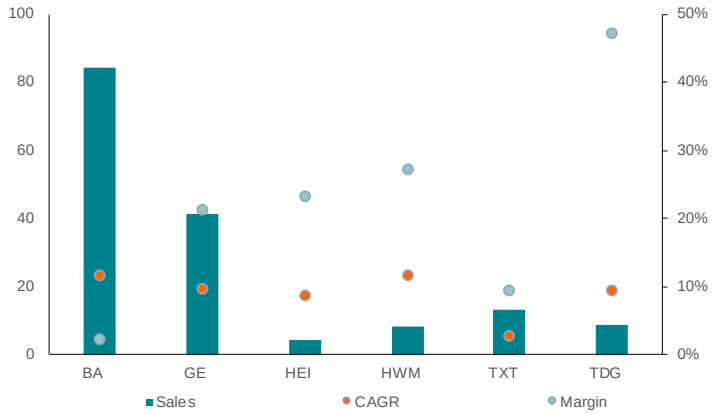
Valuation overview – Europe vs US

	EV	Mcap	EV/S27e	EV/S28e	EV/E27e	EV/E28e	EV/E26e
Airbus	131,753	154,891	1.5x	1.3x	15.5x	12.3x	18.6x
Dassault Aviation	8,301	22,779	0.7x	0.7x	7.0x	6.1x	10.1x
Melrose	9,789	7,062	2.1x	1.9x	10.7x	8.9x	12.5x
Montana Aero	1,613	1,495	1.2x	1.1x	11.6x	8.9x	15.8x
MTU	19,132	18,594	1.7x	1.4x	13.5x	11.4x	16.1x
OHB	3,518	3,666	1.9x	1.4x	22.4x	14.8x	35.7x
Rolls-Royce	128,022	142,242	4.0x	3.6x	20.8x	18.5x	24.3x
Safran	133,186	137,630	3.3x	2.9x	18.3x	15.5x	21.1x
Senior	0	0	0.0x	0.0x	0.0x	0.0x	0.0x
Europe			**1.7x**	**1.4x**	**15.5x**	**12.3x**	**18.6x**
Boeing	168,342	135,713	1.6x	1.4x	28.4x	17.1x	n/a
GE	297,426	286,527	6.0x	5.5x	26.8x	24.1x	30.2x
HEICO	39,680	35,951	7.7x	7.0x	29.8x	26.6x	32.6x
Howmet	82,120	78,590	8.2x	7.2x	26.4x	22.7x	32.1x
Textron	16,042	12,114	1.0x	1.0x	10.5x	9.7x	11.4x
TransDigm	82,715	54,295	7.9x	7.2x	16.5x	14.4x	19.4x
U.S.			**6.0x**	**5.5x**	**26.4x**	**18.6x**	**26.7x**

Eur. aero – sales, growth & margins



US aero – sales, growth & margins



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Airbus, Melrose, MTU, Rolls-Royce and Safran in more detail

Company section

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Airbus (=) - TP EUR 210 (u/s: 7%)

CP 22/01/2026: EUR 195.5	TP: EUR 210	Upside: 7%	Market cap (EURm): 154891	EV (EURm): 131753

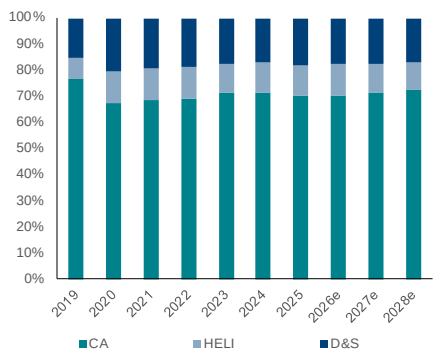
#1 CA OEM worldwide due to lead in NBs, #1 in helis (~30% share), leader in defense (air)

- Profile: Market-leading positions in all activities, Commercial Aviation (CA) contributes c. 70% to sales
- Segments: 9y visibility via OB at CA, fleet of ~14k aircraft vs ~3y at HELI(copers) and D&S (Defense & Space)
- Management: CEO/CFO in charge since 2019/23 (joined AIR in 2013/23); ex MTX CEO now CA segment CEO
- Financials: MSD-LDD growth driven by the entire portfolio, CA improvement the key EBIT and FCF driver
- Targets & cons: Our forecasts are LSD-HSD below cons., driven by a more cautious view on the CA segment
- Valuation: 19x/12x EV/EBITA 2026/28e vs. hist. 1Y FW avg. of ~12x (2016-25)

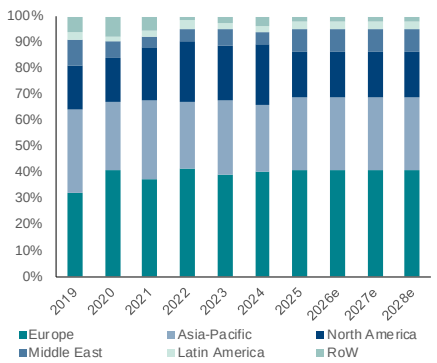
CA contributes c. 3/4 to revenue/EBIT with about equal ~13% shares at HELI and D&S

	2021	2022	2023	2024	2025	2026e	2027e	2028e	CAGR*
Sales details									
Sales	**52,149**	**58,763**	**65,446**	**69,230**	**73,420**	**79,404**	**88,149**	**99,666**	**11%**
o/w Platforms (OE)	84%	83%	82%	82%	81%	81%	82%	83%	
o/w Service (SE)	16%	17%	18%	18%	19%	19%	18%	17%	
Profitability									
Adj. EBITA (BNPP)	**4,779**	**5,284**	**5,358**	**5,110**	**7,135**	**7,092**	**8,321**	**10,156**	**12%**
% sales	9.2%	9.0%	8.2%	7.4%	9.7%	8.9%	9.4%	10.2%	
EBITA (adj.)	4,865	5,627	5,838	5,354	7,128	7,713	9,009	10,870	15%
% sales	9.3%	9.6%	8.9%	7.7%	9.7%	9.7%	10.2%	10.9%	
EAT (rep.)	**4,213**	**4,247**	**3,789**	**4,232**	**5,221**	**5,956**	**7,008**	**8,328**	**17%**
Cash Flow									
Operating cash flow	5,179	7,150	6,715	8,454	9,004	10,025	10,967	13,384	14%
OpFCF	**3,251**	**4,686**	**3,664**	**4,785**	**5,040**	**5,725**	**6,767**	**9,284**	**23%**
% sales	6.2%	8.0%	5.6%	6.9%	6.9%	7.2%	7.7%	9.3%	
% EBITA (BNPP)	68%	89%	68%	94%	71%	81%	81%	91%	
Free cash flow	**2,390**	**3,662**	**3,087**	**3,605**	**4,718**	**4,010**	**4,907**	**7,071**	**14%**

Segment sales mix



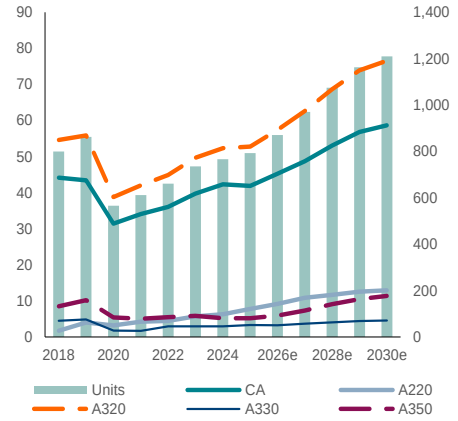
Regional sales mix

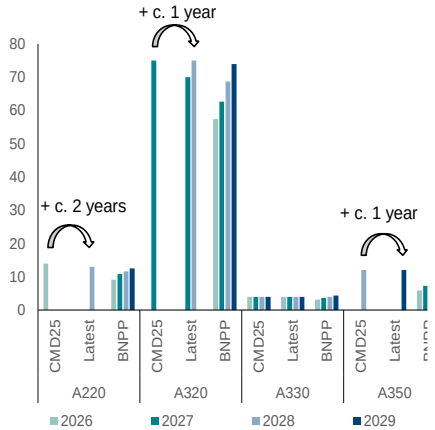


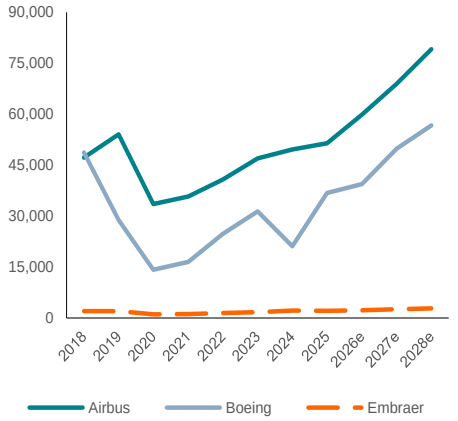
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Airbus – Segment forecasts in more detail

CA – A320 family dominates, steady push-out of targets, yet faring better than peers

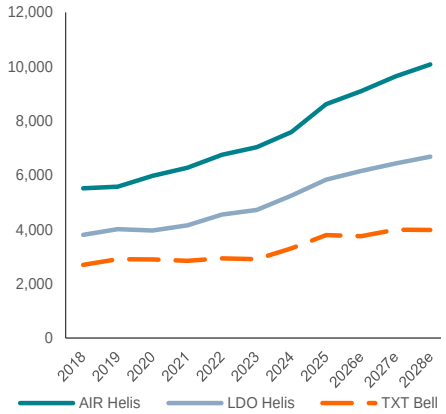


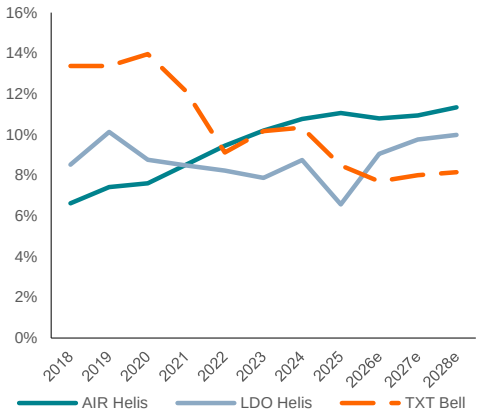




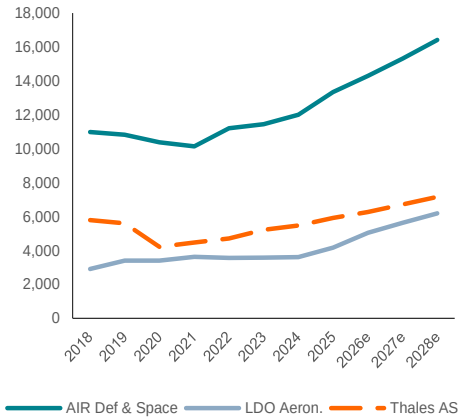


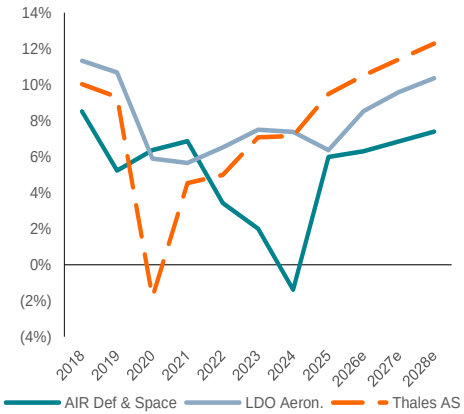
HELI – leader in a healthy market





D&S – beneficiary of rising defense spend



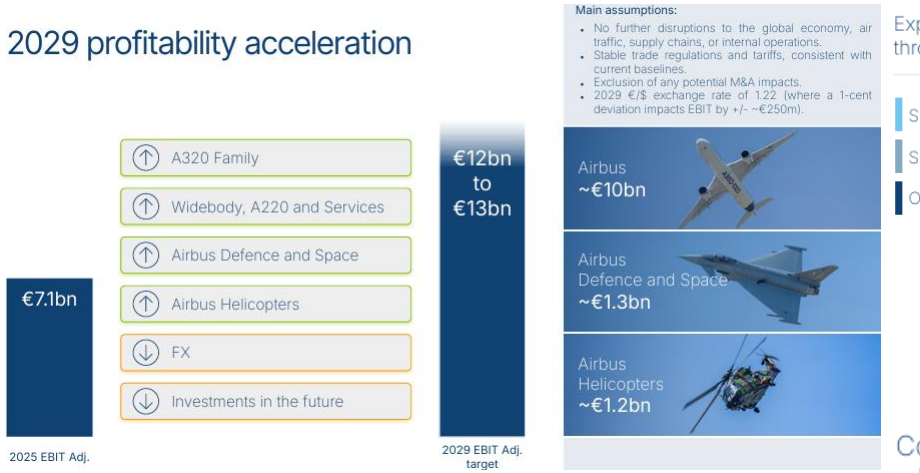


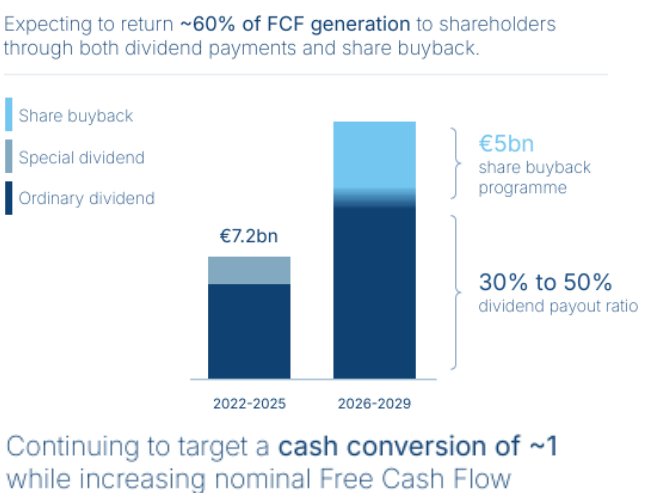
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Airbus – BNPP forecasts vs cons./guidance

BNPP vs. consensus

LC	2025	2026e BNPP	2026e Cons.	Δ	2027e BNPP	2027e Cons.	Δ	2028e BNPP	2028e Cons.	Δ	2029e BNPP	2029e Cons.	Δ	CAGR 25-29 BNPP	CAGR 25-29 Cons.
Airbus (CA)	52,577	57,215	58,621	-2%	64,116	66,572	-4%	73,610	75,372	-2%	82,690	83,330	-1%	12%	12%
Helicopters (HELI)	8,972	9,494	9,459	0%	10,104	9,986	1%	10,820	10,534	3%	11,377	11,067	3%	6%	5%
Defence & Space (D&S)	13,405	14,394	14,302	1%	15,779	15,217	4%	17,237	16,284	6%	18,739	17,417	8%	9%	7%
Revenue	**73,420**	**79,404**	**81,056**	**-2%**	**88,149**	**90,489**	**-3%**	**99,666**	######	**-2%**	**110,656**	**111,073**	**0%**	**11%**	**11%**
Aircraft deliveries	**793**	**870**	**871**	**0%**	**970**	**969**	**0%**	**1,074**	**1,081**	**-1%**	**1,163**	**1,156**	**1%**	**10%**	**10%**
Airbus (CA)	5,470	5,781	5,786	0%	6,805	6,956	-2%	8,367	8,892	-6%	9,864	10,374	-5%	16%	17%
Helicopters (HELI)	953	1,021	980	4%	1,098	1,051	4%	1,187	1,145	4%	1,261	1,234	2%	7%	7%
Defence & Space (D&S)	798	990	973	2%	1,195	1,099	9%	1,415	1,264	12%	1,641	1,430	15%	20%	16%
EBIT (adj.)	**7,128**	**7,713**	**7,637**	**1%**	**9,009**	**9,080**	**-1%**	**10,870**	**11,207**	**-3%**	**12,657**	**12,908**	**-2%**	**15%**	**16%**
Airbus (CA)	10.4%	10.1%	9.9%	0.2	10.6%	10.4%	0.2	11.4%	11.8%	-0.4	11.9%	12.4%	-0.5		
Helicopters (HELI)	10.6%	10.8%	10.4%	0.4	10.9%	10.5%	0.3	11.0%	10.9%	0.1	11.1%	11.1%	-0.1		
Defence & Space (D&S)	6.0%	6.9%	6.8%	0.1	7.6%	7.2%	0.4	8.2%	7.8%	0.4	8.8%	8.2%	0.6		
% of sales	**9.7%**	**9.7%**	**9.4%**	**0.3**	**10.2%**	**10.0%**	**0.2**	**10.9%**	**11.1%**	**-0.1**	**11.4%**	**11.6%**	**-0.2**		
Adj. EPS (Airbus)	**6.89**	**7.47**	**7.33**	**2%**	**8.73**	**8.75**	**0%**	**10.37**	**10.96**	**-5%**	**11.94**	**12.73**	**-6%**	**15%**	**17%**
Free Cash Flow	**4,753**	**4,780**	**4,661**	**3%**	**5,692**	**6,360**	**-11%**	**7,871**	**8,503**	**-7%**	**9,096**	**10,101**	**-10%**	**18%**	**21%**





Guidance check

	Deliveries	EBIT	FCF
2015	n/a	n/a	n/a
2016	6%	-4%	459%
2017	3%	-23%	12%
2018	0%	n/a	n/a
2019	-2%	4%	-70%
2020	-36%	-77%	-287%
2021	8%	143%	n/a
2022	-8%	2%	28%
2023	2%	-3%	51%
2024	-4%	-21%	12%
2025	-3%	2%	2%
Median	**-1%**	**-3%**	**12%**

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Melrose Industries (-) – TP GBP450p (d/s: 6.1%)

CP 16/09/2026: GBP479p	TP: GBP450p	Downside: 6.1%	Market cap (GBPm): 6,016	EV (GBPm): 8,371

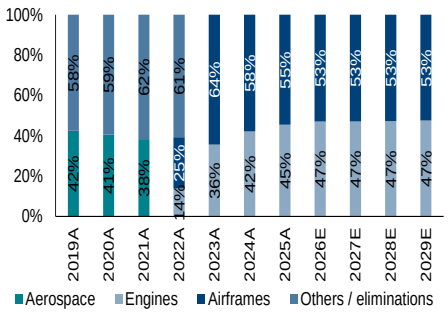
Tier 1 supplier of critical aircraft-engine components and outsourcing partner for structural airframe parts

- **Profile:** LT partner for aero industry, supplying critical aircraft-engine components (47%) and as outsourcing supplier for airframe parts (53%)
- **Segments:** Engines sales expected to grow HSD CAGR. Airframes production was temporarily impacted but Graden Grove incident in 2026.
- **Management:** Peter Dilnot joined 2019 as COO, CEO since 2024, new CFO Ross McCluskey just joined from Intertek in May 2026
- **Financials:** 5.9% OSG driven by Engines at +10.6% vs Airframes at +1.9% impacted by Graden Grove (GG) and adj margins to stay flat in 26e
- **Targets & cons:** 2026 FCF of GBP150-200m confirmed excl. GG, which implies a haircut of c.GBP80m. BNPPe GBP102m vs Cons GBP106m
- **Valuation:** 12x/8x EV/EBITA 2026e/28e vs. average since 2022 of 22x, FCF yield of 2.3% in 2026e is quite below the sector average c.5%

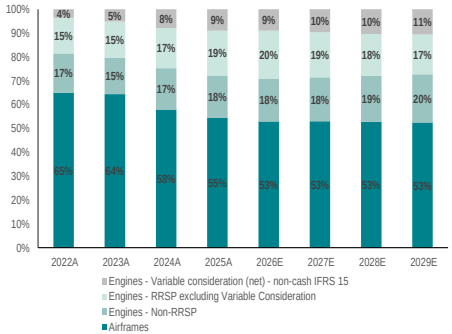
One off incidents impacting FCF since 2022, expected to turnaround in 2028

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	CAGR*
Sales details										
Sales	**6,650**	**7,536**	**3,350**	**3,468**	**3,589**	**3,759**	**4,013**	**4,313**	**4,636**	**9%**
o/w Engines		14%	36%	42%	45%	47%	47%	47%	47%	
o/w Airframes		25%	64%	58%	55%	53%	53%	53%	53%	
Profitability										
Adj. EBITA (BNPPE)	**360**	**467**	**336**	**495**	**632**	**674**	**780**	**914**	**1,053**	**19%**
% sales	5.4%	6.2%	10.0%	14.3%	17.6%	17.9%	19.4%	21.2%	22.7%	
EBITA (adj.)	375	480	390	540	647	674	780	914	1,053	18%
% sales	5.6%	6.4%	11.6%	15.6%	18.0%	17.9%	19.4%	21.2%	22.7%	
EAT (rep.)	**380**	**299**	**263**	**367**	**410**	**429**	**499**	**614**	**724**	**21%**
Cash Flow										
Operating cash flow	536	461	130	-21	341	403	589	763	887	38%
OpFCF	**298**	**163**	**24**	**-144**	**246**	**281**	**430**	**602**	**725**	**43%**
% sales	4.5%	2.2%	0.7%	-4.2%	6.9%	7.5%	10.7%	13.9%	15.6%	
% EBITA (BNPPE)	83%	35%	7%	-29%	39%	42%	55%	66%	69%	
Free cash flow (MRO)	**125**	**-88**	**-12**	**-74**	**125**	**102**	**212**	**387**	**493**	**58%**

Divisional revenue split



Share of non-cash revenues from RRSPs



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Melrose Industries (-) – BNPP forecasts vs cons./guidance

BNPP vs. consensus

GBPm	2024	2025	2026e BNPPE	2026e Cons.	2026e Δ	2027e BNPPE	2027e Cons.	2027e Δ	2028e BNPPE	2028e Cons.	2028e Δ	CAGR 25-28 BNPPE	CAGR 25-28 Cons.
Engines	1,459	1,632	1,768	1,792	-1%	1,887	1,980	-5%	2,038	2,161	-6%	6%	7%
Airframes	2,009	1,957	1,991	2,043	-3%	2,126	2,232	-5%	2,275	2,386	-5%	4%	5%
Revenue (MRO)	**3,468**	**3,589**	**3,759**	**3,831**	**-2%**	**4,013**	**4,192**	**-4%**	**4,313**	**4,533**	**-5%**	**5%**	**6%**
Engines	422	520	586	588	0%	652	677	-4%	743	771	-4%	9%	10%
Airframes	144	156	124	142	-12%	166	211	-21%	211	257	-18%	8%	13%
Corporate costs	-26	-29	-36	-35	4%	-38	-36	6%	-40	-37	7%	8%	6%
Adj. EBIT (MRO)	**540**	**647**	**674**	**675**	**0%**	**780**	**835**	**-7%**	**914**	**971**	**-6%**	**9%**	**11%**
% of sales	15.6%	18.0%	17.9%	17.6%	3 bps	19.4%	19.9%	-5 bps	21.2%	21.4%	-2 bps		
Adj. EPS (MRO)	**27.72**	**32.13**	**34.31**	**35.18**	**-2%**	**39.93**	**45.46**	**-12%**	**49.12**	**54.93**	**-11%**	**11%**	**14%**
FCF (MRO)	**-74**	**125**	**102**	**106**	**-4%**	**212**	**234**	**-9%**	**387**	**384**	**1%**	**33%**	**32%**

BNPP vs. guidance

GBPm	2024	2025	Melrose 2026e low	Melrose 2026e mid	Melrose 2026e high	2026e BNPPE	2026e Cons.	2029e BNPPE	CAGR 25-29e	Melrose 2029e framework
Engines	1,459	1,632	1,700	1,750	1,800	1,768	1,792	2,202	8%	HSD CAGR
Airframes	2,009	1,957	2,050	2,100	2,150	1,991	2,043	2,434	6%	MSD CAGR
Revenue (MRO)	**3,468**	**3,589**	3,750	3,850	3,950	**3,759**	**3,831**	**4,636**	7%	**GBP5bn**
Engines	422	520	565	580	595	586	588	837	13%	
% of sales	28.9%	31.9%	33.2%	33.1%	33.1%	33.1%	32.8%	38.0%		margin target of mid to high 30s
Airframes	144	156	170	180	190	124	142	258	13%	
% of sales	7.2%	8.0%	8.3%	8.6%	8.8%	6.2%	6.9%	10.6%		margin target of low-teens
Adj. EBIT (MRO)	**540**	**647**	**700**	**725**	**750**	**674**	**675**	**1,053**	13%	GBP1.2bn+
% of sales	15.6%	18.0%	18.7%	18.8%	19.0%	17.9%	17.6%	22.7%		margin target of 24%+
FCF* (MRO)	**-74**	**125**	**150**	**175**	**200**	**102**	**106**	**493**	41%	GBP600m

* FCF 2026 targets is excluding impact from Garden Grove incident

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MTU Aero Engines (+) - TP EUR 425 (u/s: 23%)

CP 22/01/2026: EUR 345.7	TP: EUR 425	Upside: 23%	Market cap (EURm): 18594	EV (EURm): 19132

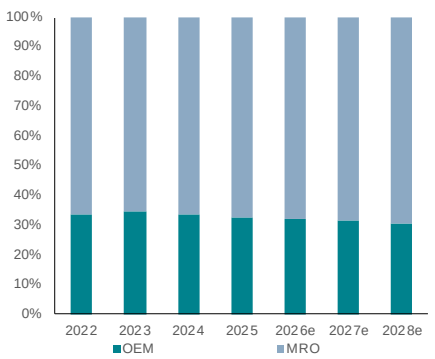
Turbine specialist across NB and WB, #1 independent MRO provider globally

- Profile: Specialist engine turbine components supplier and 2nd largest MRO service provider globally
- Segments: While OEM has been the key EBIT contributor thus far, MRO is growing its importance steadily
- Management: Both MTX's CEO and CFO only joined the company in 2025
- Financials: ~10% OSG and adj. EBIT growth driven by both segments, led by MRO
- Targets & cons: Segment goals render 2030 target framework prudent; cons. at the mid-point for adj. EBIT
- Valuation: 16x/11x EV/EBITA 2026/28e vs. hist. 1Y FW avg. of ~15x (2016-25)

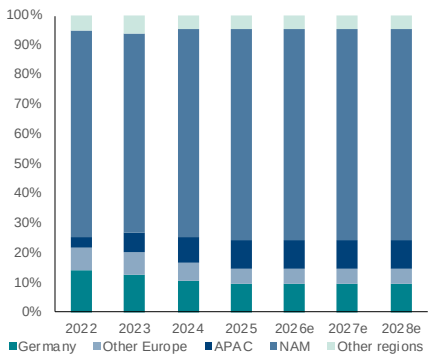
Better aftermarket opportunity and steady MRO expansion have supported margins

	2021	2022	2023	2024	2025	2026e	2027e	2028e	CAGR*
Sales details									
Sales	**4,188**	**5,330**	**5,363**	**7,411**	**8,763**	**9,583**	**10,919**	**12,325**	**12%**
o/w Platforms (OE)	21%	19%	4%	18%	18%	16%	16%	16%	
o/w Service (SE)	79%	81%	96%	82%	82%	84%	84%	84%	
Profitability									
Adj. EBITA (BNPPE)	**405**	**620**	**674**	**933**	**1,135**	**1,191**	**1,365**	**1,524**	**10%**
% sales	9.7%	11.6%	12.6%	12.6%	13.0%	12.4%	12.5%	12.4%	
EBITA (adj.)	468	655	818	1,050	1,351	1,432	1,629	1,831	11%
% sales	11.2%	12.3%	15.3%	14.2%	15.4%	14.9%	14.9%	14.9%	
EAT (rep.)	**222**	**331**	**-103**	**633**	**1,016**	**956**	**1,112**	**1,258**	**7%**
Cash Flow									
Operating cash flow	617	747	957	840	996	1,343	1,694	1,991	26%
OpFCF	**250**	**345**	**524**	**167**	**444**	**783**	**1,109**	**1,391**	**46%**
% sales	6.0%	6.5%	9.8%	2.3%	5.1%	8.2%	10.2%	11.3%	
% EBITA (BNPPE)	62%	56%	78%	18%	39%	66%	81%	91%	
Free cash flow	**166**	**262**	**263**	**-28**	**201**	**465**	**756**	**1,012**	**71%**

Segment sales mix



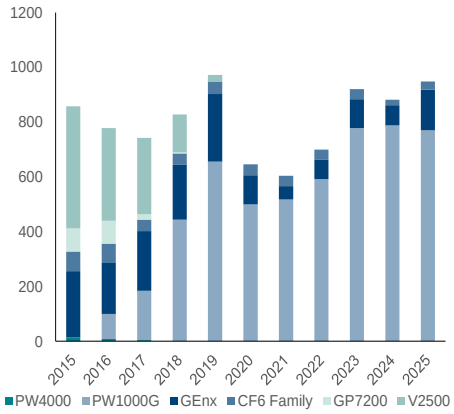
Regional sales mix

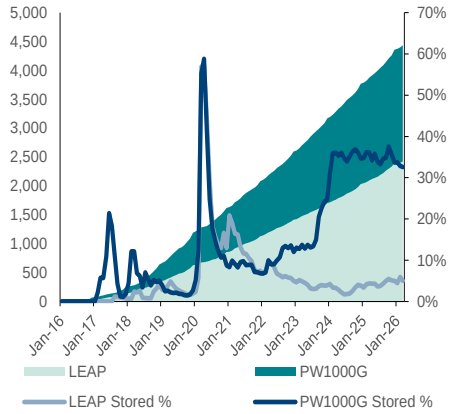


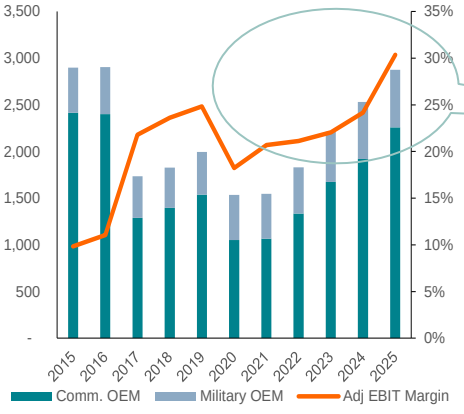
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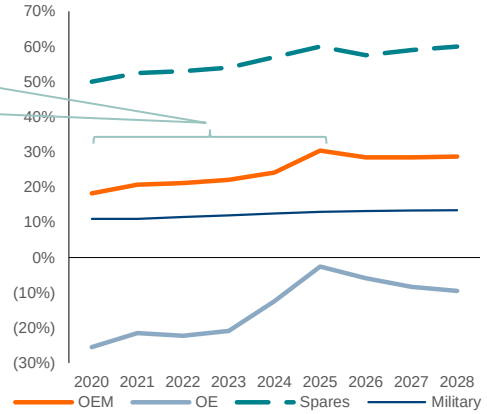
MTU Aero Engines – Segment forecasts in more detail

OEM – normalisation in PW1000G is crucial to volume, while spares drive margins

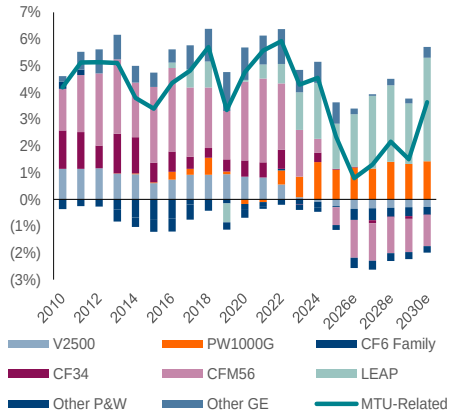


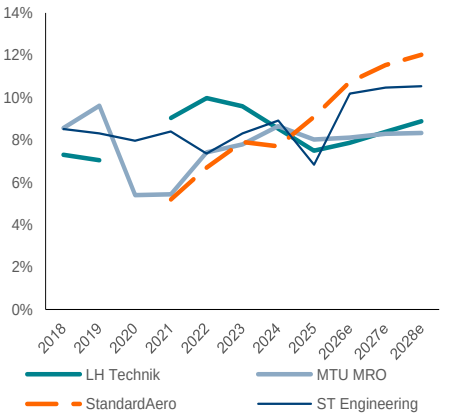


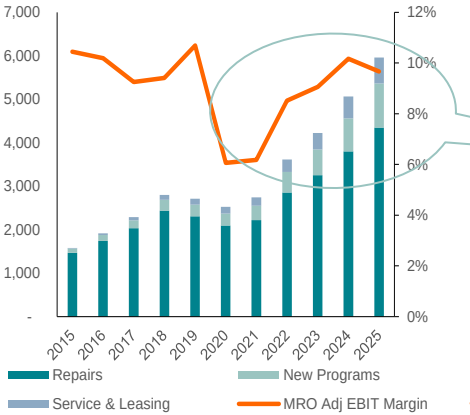


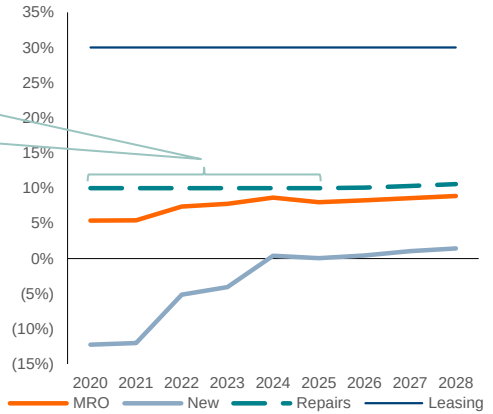


MRO – multi-year opportunity as newer programs mature, driving mix and MRO









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MTU Aero Engines – BNPP forecasts vs cons./guidance

BNPP vs. consensus

LC	2025	2026e BNPPE	2026e Cons.	2026e Δ	2027e BNPPE	2027e Cons.	2027e Δ	2028e BNPPE	2028e Cons.	2028e Δ	2029e BNPPE	2029e Cons.	2029e Δ	CAGR 25-29 BNPPE	CAGR 25-29 Cons.
OEM	2,875	3,150	3,147	0%	3,496	3,390	3%	3,851	3,676	5%	4,120	3,938	5%	9%	8%
- Commercial OE / spare	2,260	2,454	2,436	1%	2,744	2,641	4%	3,042	2,876	6%	3,255	3,078	6%	10%	8%
- Millitary	615	697	695	0%	752	742	1%	809	800	1%	865	853	1%	9%	9%
MRO	5,960	6,663	6,729	-1%	7,658	7,458	3%	8,714	8,129	7%	9,452	8,821	7%	12%	10%
Consolidation	-118	-130	-147	n/a	-135	-185	n/a	-140	-213	n/a	-145	-115	n/a	n/a	n/a
Revenue (MTU)	**8,717**	**9,683**	**9,713**	**0%**	**11,019**	**10,655**	**3%**	**12,425**	**11,593**	**7%**	**13,427**	**12,636**	**6%**	**11%**	**10%**
Comm. & Military Engine	873	900	902	0%	1,000	957	5%	1,097	935	17%	1,178	1,115	6%	8%	6%
Comm. Maint. Business	478	532	542	-2%	629	620	2%	734	689	6%	820	764	7%	14%	12%
Consolidation	0	0	-13	n/a	0	-21	n/a	0	69	n/a	0	-12	n/a	n/a	n/a
Adj. EBIT (MTU)	**1,351**	**1,432**	**1,431**	**0%**	**1,629**	**1,555**	**5%**	**1,831**	**1,693**	**8%**	**1,998**	**1,867**	**7%**	**10%**	**8%**
% of sales	15.5%	14.8%	14.7%	0.1	14.8%	14.6%	0.2	14.7%	14.6%	0.1	14.9%	14.8%	0.1		
OpFCF (co. def.)	**378**	**565**	**567**	**0%**	**876**	**734**	**19%**	**1,142**	**920**	**24%**	**1,370**	**1,121**	**22%**	**38%**	**31%**

BNPP vs. guidance

LC	2024	2025	MTU 2026e low	MTU 2026e mid	MTU 2026e high	2026e BNPPE	2026e Cons.	MTU 2030e low	MTU 2030e mid	MTU 2030e high	MTU 2030e framework	2030e BNPPE	2030e Cons.
OEM	2,531	2,875	~3.3bn	~3.3bn	~3.4bn	3,150	3,147	~3.6bn	~4.0bn	~4.5bn	implies 6-11% CAGR	4,382	4,191
- Commercial OE / spare	1,919	2,260	~2.6bn	~2.6bn	~2.7bn	2,454	2,436	~2.7bn	~3.1bn	~3.5bn	implies 7-11% CAGR	3,456	3,275
o/w - Comm. OE	804	900									MSD-HSD		
o/w - Comm. spares	1,115	1,360									HSD-low teens		
- Millitary	612	615		~0.7bn		697	695	~0.8bn	~0.9bn	~1.0bn	MSD-HSD	926	916
MRO	5,066	5,960	~6.7bn	~6.8bn	~6.9bn	6,663	6,729	~10.0bn	~10.5bn	~11.0bn	low teens	10,110	9,547
Consolidation	-109	-118				-130	-147		~4bn			-150	-97
Revenue (MTU)	**7,488**	**8,717**	**~9.2bn**	**~9.5bn**	**~9.7bn**	**9,683**	**9,713**	**13.0bn**	**13.5bn**	**14.0bn**	**implies 10-11% CAGR**	**14,342**	**13,641**
OEM	612	873				900	902	~1.0bn	~1.2bn	~1.4bn	28-30% margin band	1,263	1,201
MRO	438	478				532	542	~0.9bn	~1.0bn	~1.1bn	8.5-9.5% margin band	904	839
Consolidation	0	0				0	-13					0	-9
Adj. EBIT (MTU)	**1,050**	**1,351**	**1,350**	**1,400**	**1,450**	**1,432**	**1,431**	**~1.9bn**	**~2.0bn**	**~2.2bn**		**2,167**	**2,030**
% of sales	14.0%	15.5%	14.7%	14.8%	14.9%	14.8%	14.7%	14.5%	15.0%	15.5%		15.1%	14.9%
OpFCF (co. def.)	**183**	**378**	**425**	**490**	**558**	**565**	**567**	**~1.1bn**	**~1.2bn**	**~1.4bn**		**1,590**	**1,278**
% of adj. EBIT	17%	28%	45%	50%	55%	39%	40%				high DD % vs. adj. EAT	73%	63%

Guidance check

	Sales	EBIT	FCF
2015	2%	5%	n/a
2016	2%	8%	-33%
2017	-2%	11%	63%
2018	n/a	1%	n/a
2019	-2%	4%	28%
2020	n/a	-49%	-65%
2021	-5%	6%	41%
2022	1%	12%	14%
2023	2%	7%	n/a
2024	1%	13%	-9%
2025	-1%	12%	89%
Median	**1%**	**7%**	**21%**

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Rolls-Royce (+) – TP GBP1,750p (u/s: 21.5%)

CP 16/09/2026: GBP1,441p	TP: GBP1,750p	Downside: 21.5%	Market cap (GBPm): 119,598	EV (GBPm): 107,317

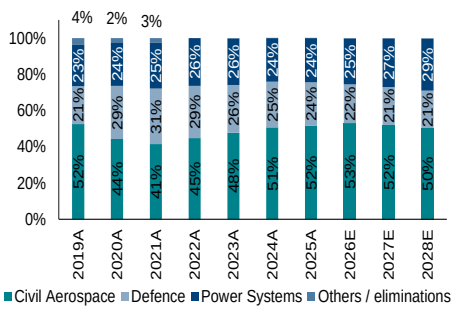
Leading manufacturer for WB engines, propulsion systems for defence systems and data centre gensets

- **Profile:** With core technologies of jet- and large diesel/gas engines, Rolls-Royce is centered around propulsion and power systems for civil (c70%) and defence (c30%) application. In addition, the company owns a 58% stake in Rolls-Royce SMR
- **Segments:** Continued momentum in WB plane utilisation and engine production favours Civil Aero. Defence growth to accelerate beyond 2028. Power Systems benefitting from DC build out and SMR concept pivots for 2030's
- **Management:** Seasoned management team, cultural change of organisation led by CEO Tufan Erginbilgic joining in 2023
- **Financials:** 21% OSG and 200bps EBIT margin improvement in 2026e, driven by all three segments, short- and medium guidance too low
- **Targets & cons:** Mid-Term targets for 2028 raised twice in last 2 years, still headroom for upward revision; cons. at the mid-point for FCF
- **Valuation:** 23x/17x EV/EBITA 2026e/28e slightly above peer averages, but the company offers a higher 3Y FCF yield vs. peers (4.0% vs 3.0%)

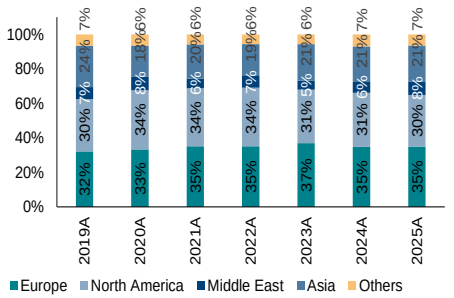
Continued momentum in CA, strong demand in Power Systems and optimisation measures help margin expansion

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	CAGR*
Sales details									
Sales	**10,947**	**12,691**	**15,409**	**17,848**	**20,059**	**24,000**	**26,711**	**28,635**	**13%**
o/w OE	45%	46%	64%	45%	44%	45%	47%	49%	
o/w Services	55%	54%	36%	55%	56%	55%	53%	51%	
Profitability									
Adj. EBITA (BNPPE)	**340**	**550**	**1,314**	**2,133**	**3,298**	**4,520**	**5,136**	**5,581**	**19%**
% sales	3.1%	4.3%	8.5%	12.0%	16.4%	18.8%	19.2%	19.5%	
EBITA (adj.)	414	652	1,590	2,464	3,462	4,692	5,339	5,834	19%
% sales	3.8%	5.1%	10.3%	13.8%	17.3%	19.5%	20.0%	20.4%	
EAT (rep.)	**9**	**163**	**1,150**	**1,702**	**2,487**	**3,544**	**3,997**	**4,355**	**21%**
Cash Flow									
Operating cash flow	-110	1,589	2,444	3,817	4,797	6,132	7,250	8,107	19%
OpFCF	**-603**	**1,049**	**1,745**	**2,941**	**3,819**	**4,951**	**5,914**	**6,676**	**20%**
% sales	-5.5%	8.3%	11.3%	16.5%	19.0%	20.6%	22.1%	23.3%	
% EBITA (BNPPE)	-177%	191%	133%	138%	116%	110%	115%	120%	
Free cash flow	**-1,496**	**456**	**1,231**	**2,325**	**3,086**	**3,828**	**4,631**	**5,244**	**19%**

Divisional revenue split



Geographical revenue split



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Rolls-Royce (+) – BNPP forecasts vs cons./guidance

BNPP vs. consensus

GBPm	2024	2025	2026e BNPPE	2026e Cons.	2026e Δ	2027e BNPPE	2027e Cons.	2027e Δ	2028e BNPPE	2028e Cons.	2028e Δ	CAGR 25-28 BNPPE	CAGR 25-28 Cons.
Civil Aerospace	9,040	10,382	12,710	12,523	1%	13,877	13,797	1%	14,424	15,137	-5%	12%	13%
Defence	4,522	4,772	5,168	5,216	-1%	5,596	5,537	1%	5,916	5,866	1%	7%	7%
Power Systems	4,271	4,892	6,093	6,026	1%	7,179	7,105	1%	8,208	8,268	-1%	19%	19%
Revenue (RR)	**17,848**	**20,059**	**24,000**	**23,615**	**2%**	**26,711**	**26,330**	**1%**	**28,635**	**29,284**	**-2%**	**13%**	**13%**
Civil Aerospace	1,505	2,130	2,837	2,892	-2%	3,128	3,154	-1%	3,264	3,496	-7%	15%	18%
Defence	644	689	886	929	-5%	967	936	3%	1,031	1,007	2%	14%	13%
Power Systems	560	852	1,193	1,192	0%	1,463	1,433	2%	1,720	1,694	2%	26%	26%
Others / eliminations	-245	-209	-225	-241	-7%	-219	-247	-11%	-182	-193	-5%	-5%	-3%
Adj. EBIT (RR)	**2,464**	**3,462**	**4,692**	**4,772**	**-2%**	**5,339**	**5,276**	**1%**	**5,834**	**6,005**	**-3%**	**19%**	**20%**
% of sales	13.8%	17.3%	19.5%	20.2%	-7 bps	20.0%	20.0%	-1 bps	20.4%	20.5%	-1 bps		
Adj. EPS (RR)	**20.29**	**29.55**	**42.43**	**42.99**	**-1%**	**48.92**	**48.90**	**0%**	**54.42**	**57.09**	**-5%**	**23%**	**25%**
FCF (RR)	**2,425**	**3,270**	**3,845**	**4,012**	**-4%**	**4,631**	**4,851**	**-5%**	**5,244**	**5,561**	**-6%**	**17%**	**19%**

BNPP vs. guidance

GBPm	2024	2025	Rolls-Royce 2026e low	Rolls-Royce 2026e mid	Rolls-Royce 2026e high	2026e BNPPE	2026e Cons.	Rolls-Royce 2028e low	Rolls-Royce 2028e mid	Rolls-Royce 2028e high	Rolls-Royce 2028e framework	2028e BNPPE	2028e Cons.
Civil Aerospace	9,040	10,382				12,710	12,523					14,424	15,137
Defence	4,522	4,772				5,168	5,216					5,916	5,866
Power Systems	4,271	4,892				6,093	6,026					8,208	8,268
Revenue (RR)	**17,848**	**20,059**				**24,000**	**23,615**	**27,222**	**26,579**	**26,000**		**28,635**	**29,284**
Civil Aerospace	1,505	2,130				2,837	2,892					3,264	3,496
% of sales	16.6%	20.5%				22.3%	23.1%				margin target of 21%-23%	22.6%	23.1%
Defence	644	689				886	929					1,031	1,007
% of sales	14.2%	14.4%				17.2%	17.8%				margin target of 14%-16%	17.4%	17.2%
Power Systems	560	852				1,193	1,192					1,720	1,694
% of sales	13.1%	17.4%				19.6%	19.8%				margin target of 18%-20%	21.0%	20.5%
Adj. EBIT (RR)	**2,464**	**3,462**	**4,700**	**4,800**	**4,900**	**4,692**	**4,772**	**4,900**	**5,050**	**5,200**		**5,834**	**6,005**
% of sales	13.8%	17.3%				19.5%	20.2%	18.0%	19.0%	20.0%	margin target of 18%-20%	20.4%	20.5%
FCF (RR)	**2,425**	**3,270**	**3,800**	**3,900**	**4,000**	**3,845**	**4,012**	**5,000**	**5,150**	**5,300**		**5,244**	**5,561**
EFH as % of 2019 levels	**103%**	**111%**	**115%**	**118%**	**120%**	**116%**	**117%**	**130%**	**135%**	**140%**	higher utlisation of large engines	**130%**	**131%**

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Safran (=) - TP EUR 350 (u/s: 6%)

CP 22/01/2026: EUR 331.6	TP: EUR 350	Upside: 6%	Market cap (EURm): 137630	EV (EURm): 133186

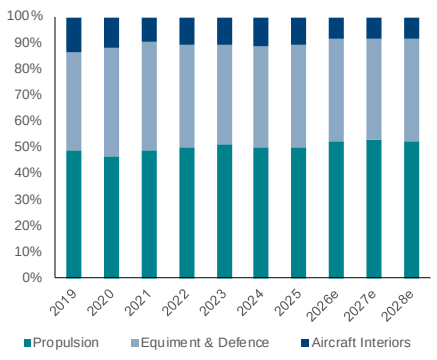
Global #1 in NB engines (~70% share), 20% defense sales share, large player in AC E&I

- Profile: >50% of sales originate from services, well diversified operationally and regionally
- Segments: SE-heavy PROP is ~50%/70% of sales / adj. EBIT, E&D at ~40%/30%, INT the turnaround case
- Management: CEO and CFO have been with SAF for combined 35y, and in their roles since 2021/22
- Financials: 11% sales and 16% adj. EBITA CAGR '25-28e imply EUR8.0bn and a >18% margin by '28
- Targets & cons: Our forecast is in line with cons. in '26/27e, but MSD above in outer years
- Valuation: 21x/15x EV/EBITA 2026/28e vs. hist. 1Y FW avg. of ~16x (2016-25)

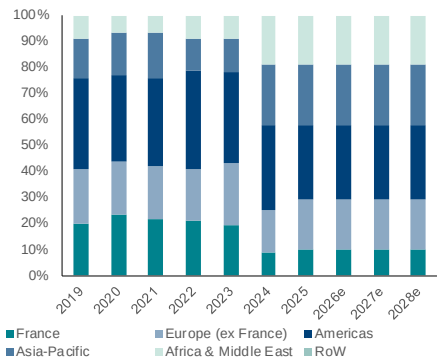
PROP the key contributor to revenue/EBIT expansion at ~60%, backed by E&D and INT **

	2021	2022	2023	2024	2025	2026e	2027e	2028e	CAGR*
Sales details									
Revenue (Safran)	**15,257**	**19,035**	**23,199**	**27,317**	**31,329**	**36,478**	**39,972**	**44,187**	**12%**
o/w OE	52%	53%	52%	51%	48%	48%	48%	49%	
o/w Service (SE)	48%	47%	48%	49%	52%	52%	52%	51%	
Profitability									
Adj. EBITA (BNPP)	**1,303**	**2,775**	**3,551**	**4,009**	**4,864**	**6,304**	**7,123**	**8,190**	**19%**
% sales	8.5%	14.6%	15.3%	14.7%	15.5%	17.3%	17.8%	18.5%	
EBITA (adj.)	1,400	2,493	3,309	4,186	4,787	6,606	7,456	8,560	21%
% sales	9.2%	13.1%	14.3%	15.3%	15.3%	18.1%	18.7%	19.4%	
EAT (rep.)	**43**	**-2,459**	**3,444**	**-667**	**7,177**	**4,587**	**5,439**	**6,350**	**-4%**
Cash Flow									
Operating cash flow	2,823	3,834	5,146	5,511	7,567	9,076	8,831	9,940	10%
OpFCF	**2,067**	**2,955**	**3,821**	**3,967**	**5,767**	**7,014**	**6,719**	**7,773**	**10%**
% sales	13.5%	15.5%	16.5%	14.5%	18.4%	19.2%	16.8%	17.6%	
% EBITA (BNPP)	159%	106%	108%	99%	119%	111%	94%	95%	
Free cash flow	**1,565**	**2,548**	**2,815**	**3,088**	**3,791**	**4,765**	**4,682**	**5,552**	**14%**

Segment sales mix



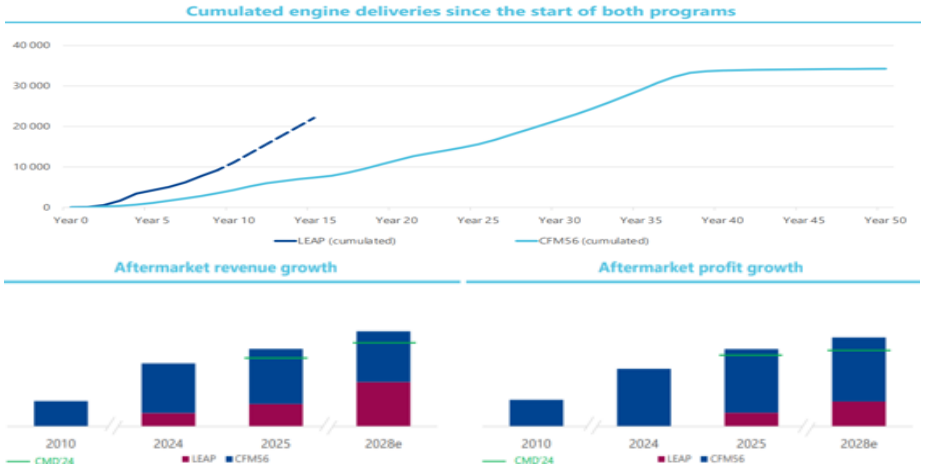
Regional sales mix

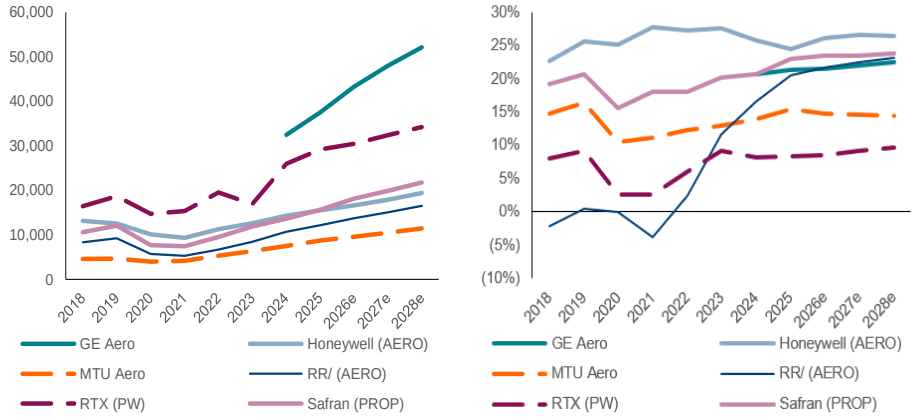


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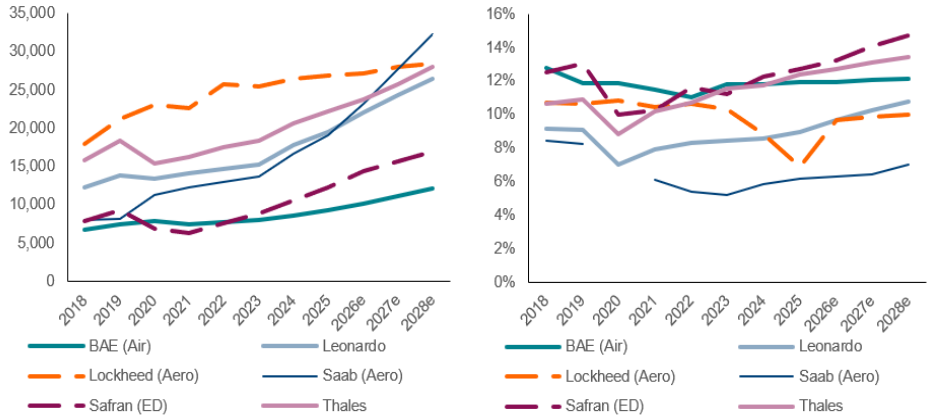
Safran – segment forecasts in more detail

PROP – Service dominated by CFM56, but LEAP is rising fast, also vs peers*

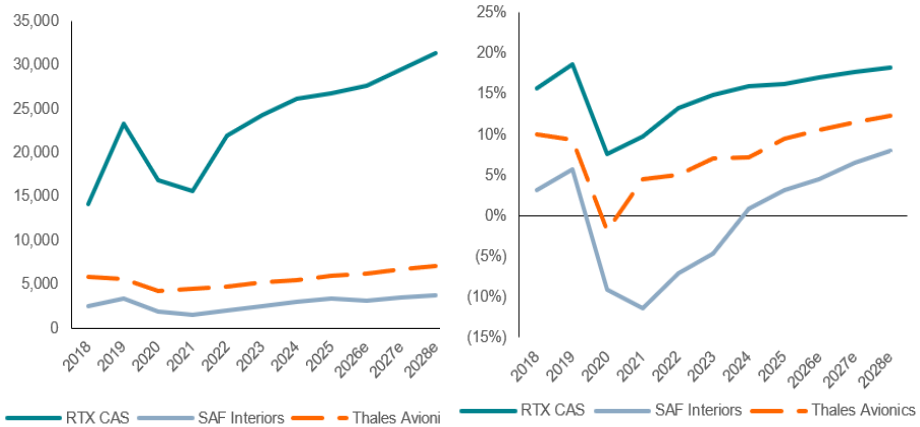




E&D – sector-leading margins*



INT – turnaround on its way*



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Safran – BNPP forecasts vs cons./guidance

BNPP vs. consensus

LC	2025	2026e			2027e			2028e			2029e			CAGR 25-29	
		BNPP	Cons.	Δ	BNPP	Cons.	Δ	BNPP	Cons.	Δ	BNPP	Cons.	Δ	BNPP	Cons.
Propulsion (PROP)	15,668	19,177	18,656	3%	21,141	20,696	2%	23,153	22,649	2%	24,710	24,282	2%	12%	12%
Equipment & Defence (E	12,302	14,275	14,434	-1%	15,482	15,779	-2%	17,329	17,187	1%	19,207	18,431	4%	12%	11%
Aircraft Interiors (INT)	3,349	3,014	3,199	-6%	3,335	ND	n/a	3,690	3,838	-4%	4,052	4,131	-2%	5%	5%
Revenue (Safran)	**31,329**	**36,478**	**36,311**	**0%**	**39,972**	**36,497**	**10%**	**44,187**	**43,697**	**1%**	**47,987**	**46,869**	**2%**	**11%**	**11%**
Propulsion (PROP)	3,600	4,622	4,423	4%	5,064	4,916	3%	5,629	5,432	4%	6,042	5,889	3%	14%	13%
Equipment & Defence (E	1,565	1,897	1,921	-1%	2,188	2,209	-1%	2,591	2,527	3%	2,996	2,795	7%	18%	16%
Aircraft Interiors (INT)	108	127	146	-13%	208	ND	n/a	308	304	1%	382	373	2%	37%	36%
Adj. EBIT (Safran)	**5,197**	**6,606**	**6,528**	**1%**	**7,456**	**7,364**	**1%**	**8,560**	**8,183**	**5%**	**9,487**	**8,998**	**5%**	**16%**	**15%**
% of sales	**16.6%**	**18.1%**	**18.0%**	**0.1**	**18.7%**	**20.2%**	**-1.5**	**19.4%**	**18.7%**	**0.6**	**19.8%**	**19.2%**	**0.6**		
Adj. EPS (Safran)	**7.60**	**11.05**	**10.48**	**5%**	**13.10**	**12.96**	**1%**	**15.30**	**14.72**	**4%**	**17.24**	**16.30**	**6%**	**23%**	**21%**
FCF (Safran)	**3,921**	**4,925**	**4,861**	**1%**	**4,852**	**5,234**	**-7%**	**5,732**	**5,919**	**-3%**	**6,506**	**6,484**	**0%**	**n.m.**	**n.m.**

BNPP vs. guidance

LC	2024	2025	Safran 2026e			2026e		Safran 2028e			2028e	
			low	mid	high	BNPP	Cons.	low	mid	framework	BNPP	Cons.
Propulsion (PROP)	13,652	15,668	LEAP deliveries: up ~15			19,177	18,656		~20n	assumed 10% CAGR	23,153	22,649
Equipment & Defence (E	10,618	12,302	Spare rev. ($) up mid-tee			14,275	14,434		~18bn	10% CAGR + 2bn scope	17,329	17,187
Aircraft Interiors (INT)	3,037	3,349	Service rev. ($) up 20%			3,014	3,199		~4bn	10% CAGR -/- 0.2bn sc	3,690	3,838
Revenue (Safran)	**27,317**	**31,329**	**up low to mid-teens**			**16%**	**16%**		**~42bn**	**~10% CAGR**	**44,187**	**43,697**
Propulsion (PROP)	2,819	3,600	further margin expansion			4,622	4,423		.4-4.8bn	22-24% margin band	5,629	5,432
Equipment & Defence (E	1,298	1,565	slight improvement (M&A			1,897	1,921		.5-2.8bn	mid-teens (BNPPe: 14-1	2,591	2,527
Aircraft Interiors (INT)	27	108	stable or slightly up			127	146		~0.3bn	HSD (BNPPe: 7-9%)	308	304
Adj. EBIT (Safran)	**4,119**	**5,197**	**6,100**	**6,150**	**6,200**	**6,606**	**6,528**	**7,000**	**7,250**	**7,500** **implies c. 7.2-8.0bn**	**8,560**	**8,183**
% of sales	**15.1%**	**16.6%**	some margin expansion			**18.1%**	**18.0%**	**ND**	**ND**	**ND** ~17-19% margin range	**19.4%**	**18.7%**
FCF (Safran)	**3,189**	**3,921**	**4,400**	**4,500**	**4,600**	**4,925**	**4,861**	**24-28e**	**c. 21bn**	BNP/cons.: 22.6bn/22.2	**5,732**	**5,919**
FCF conversion	77%	75%	72%	73%	74%	75%	74%	-"-	c. ~70%	-"-: 71%/73%	67%	72%

Guidance check

	Sales	EBIT	FCF
2015	n/a	n/a	n/a
2016	0%	-6%	n/a
2017	-1%	3%	27%
2018	28%	13%	27%
2019	8%	13%	2%
2020	-31%	-58%	-51%
2021	1%	2%	57%
2022	5%	2%	33%
2023	1%	6%	15%
2024	0%	3%	6%
2025	4%	7%	26%
Median	**1%**	**3%**	**26%**

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Valuation

Peer overview, historical multiples, and BNPP A&D valuation framework

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Valuation gaps between Europe and the US are material

LC	EV (EURm)	Mcap (EURm)	EV/SALES 2026e	EV/SALES 2027e	EV/SALES 2028e	EV/EBIT 2026e	EV/EBIT 2027e	EV/EBIT 2028e	P/E 2026e	P/E 2027e	P/E 2028e	CAGRs 2025-28e Sales	CAGRs 2025-28e EBIT	CAGRs 2025-28e EPS	Sales growth 2026e	Sales growth 2027e	Sales growth 2028e	EBIT margin 2026e	EBIT margin 2027e	EBIT margin 2028e
I) Europe																				
Airbus SE*	131,975	155,113	1.66x	1.47x	1.25x	18.6x	15.5x	12.3x	26.8x	22.7x	19.0x	11%	12%	10%	8%	11%	13%	8.9%	9.4%	10.2%
Dassault Aviation SA*	7,349	21,827	0.84x	0.62x	0.60x	8.9x	6.1x	5.3x	19.7x	15.5x	13.2x	14%	24%	19%	17%	13%	12%	9.4%	10.2%	11.2%
Melrose Ind. PLC*	9,620	6,892	2.20x	2.04x	1.86x	12.3x	10.5x	8.8x	13.8x	11.9x	9.6x	6%	13%	16%	5%	7%	7%	17.9%	19.4%	21.2%
Montana Aerospace AG	1,613	1,495	1.48x	1.26x	1.08x	16.3x	11.8x	9.0x	21.9x	15.5x	12.4x	10%	31%	n/a	9%	10%	10%	9.1%	10.7%	12.0%
MTU Aero Engines AG*	18,739	18,201	1.96x	1.66x	1.38x	15.7x	13.2x	11.2x	19.9x	17.1x	15.1x	12%	10%	9%	9%	14%	13%	12.4%	12.5%	12.4%
OHB SE	3,564	3,712	2.35x	1.88x	1.37x	36.0x	22.6x	14.9x	n/a	35.1x	23.8x	25%	44%	41%	16%	26%	33%	6.5%	8.3%	9.2%
Rolls-Royce PLC*	123,310	137,538	4.38x	3.84x	3.46x	23.4x	20.0x	17.8x	34.6x	29.9x	26.9x	11%	19%	19%	14%	11%	7%	18.7%	19.2%	19.5%
Safran SA*	129,202	133,645	3.54x	3.15x	2.76x	20.5x	17.7x	15.0x	30.5x	24.8x	21.3x	12%	19%	23%	17%	10%	11%	17.3%	17.8%	18.5%
Median - I) Europe			**1.96x**	**1.66x**	**1.37x**	**18.6x**	**15.5x**	**12.3x**	**21.9x**	**22.7x**	**15.1x**	**12%**	**19%**	**19%**	**13%**	**11%**	**11%**	**9.4%**	**10.7%**	**12.0%**
II) US																				
Boeing Co/The*	172,053	139,736	2.10x	1.69x	1.43x	n/a	29.3x	17.7x	n/a	44.3x	22.3x	13%	32%	80%	6%	21%	12%	2.1%	5.7%	8.1%
General Electric Co*	304,248	293,453	6.98x	6.21x	5.65x	31.2x	27.7x	24.9x	38.7x	34.8x	31.3x	12%	13%	16%	19%	10%	8%	22.4%	22.4%	22.7%
HEICO Corp*	41,223	37,529	8.98x	8.14x	7.38x	34.2x	31.2x	28.0x	45.5x	41.7x	37.7x	11%	13%	14%	19%	8%	8%	26.3%	26.0%	26.4%
Howmet Aerospace Inc*	82,076	78,579	9.50x	8.24x	7.26x	32.4x	26.7x	23.0x	42.1x	35.1x	30.3x	15%	24%	26%	21%	14%	11%	29.4%	30.9%	31.6%
RTX Corp*	262,179	230,935	3.16x	2.92x	2.68x	23.6x	21.4x	19.0x	27.9x	26.3x	23.5x	8%	11%	10%	9%	7%	7%	13.4%	13.6%	14.1%
Textron Inc	15,635	11,745	1.05x	1.01x	0.97x	11.4x	10.5x	9.7x	12.3x	10.9x	9.9x	3%	17%	10%	2%	4%	3%	9.3%	9.6%	10.0%
TransDigm Group Inc*	84,466	56,318	9.35x	8.20x	7.40x	20.0x	17.0x	14.9x	29.9x	25.6x	22.0x	12%	13%	13%	19%	10%	7%	46.7%	48.3%	49.6%
Median - II) US			**6.98x**	**6.21x**	**5.65x**	**27.4x**	**26.7x**	**19.0x**	**34.3x**	**34.8x**	**23.5x**	**12%**	**13%**	**14%**	**19%**	**10%**	**8%**	**22.4%**	**22.4%**	**22.7%**
III) ROW																				
Bombardier Inc	25,525	30,644	2.48x	2.24x	n/a	21.1x	18.2x	n/a	21.4x	21.3x	18.9x	5%	9%	6%	4%	6%	6%	11.7%	12.3%	12.8%
Embraer SA	63,661	11,931	1.57x	1.38x	1.21x	15.3x	14.4x	12.5x	n/a	n/a	n/a	11%	18%	n/a	12%	12%	11%	10.3%	9.6%	9.7%
Median - III) ROW			**2.03x**	**1.81x**	**1.21x**	**18.2x**	**16.3x**	**12.5x**	**21.4x**	**21.3x**	**18.9x**	**8%**	**14%**	**6%**	**8%**	**9%**	**8%**	**11.0%**	**11.0%**	**11.2%**

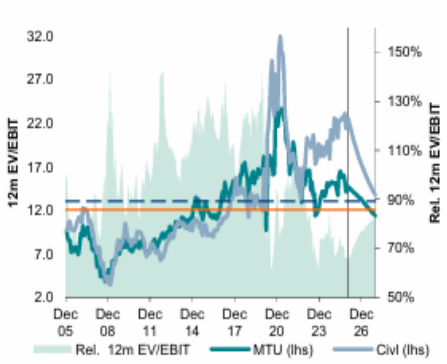
- While valuation gaps of 20-40% are not unusual between European and US peers…
- … the delta in the aerospace sector is even more material…
- …which also includes direct cooperation partners (e.g. GE-SAF) and competitors (e.g. BA-AIR)

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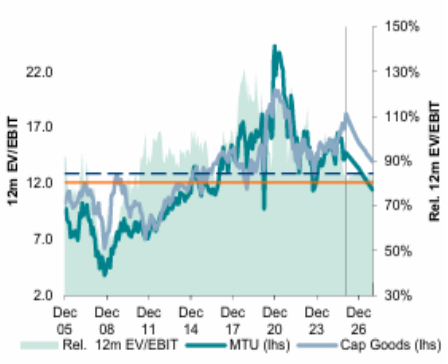
Spreads have developed in disfavour of MTU, mainly

MTU – 1Y FW EV/EBIT vs. peers

MTU – 1Y FW EV/EBIT MSCI A&D vs. Eur. MSCI A&D

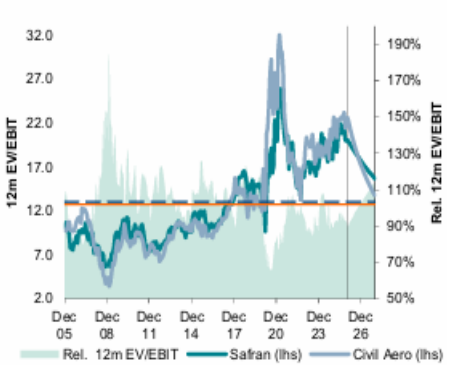


MTU – 1Y FW EV/EBIT MSCI A&D vs. Eur. MSCI CG

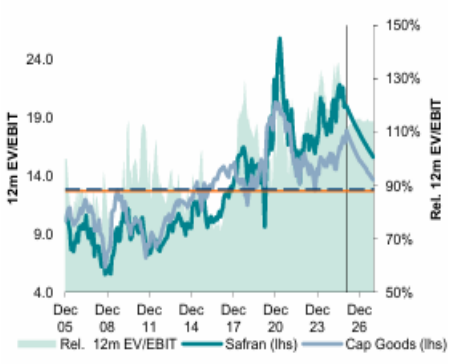


Safran – 1Y FW EV/EBIT vs. peers

Safran – 1Y FW EV/EBIT MSCI A&D vs. Eur. MSCI A&D

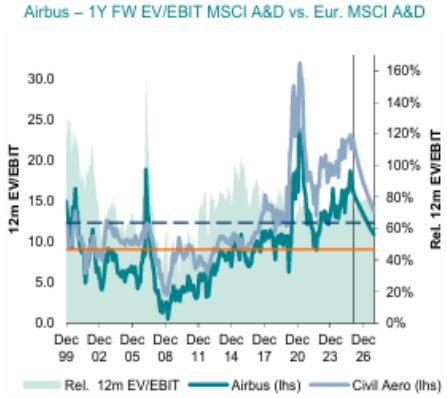


Safran – 1Y FW EV/EBIT MSCI A&D vs. Eur. MSCI CG

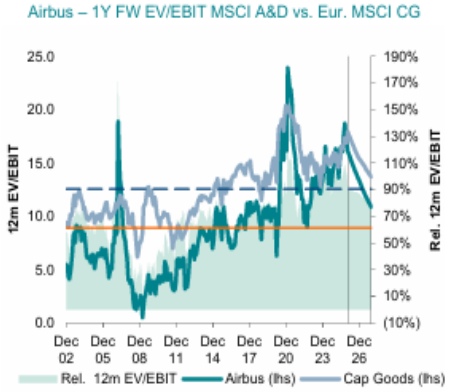


Airbus – 1Y FW EV/EBIT vs. peers

Airbus – 1Y FW EV/EBIT MSCI A&D vs. Eur. MSCI A&D



Airbus – 1Y FW EV/EBIT MSCI A&D vs. Eur. MSCI CG



Key observations

- **MTU Aero (+)**: derating both vs history and vs peers, which looks excessive, in our view
- **Safran (=)**: while not a bargain, the business quality (50%+ service driven) & #1 position in NB engines yields a premium vs history & peers
- **Airbus (=)**: while long-term appeal might look intriguing, supply chain risks make Airbus vulnerable to further execution issues

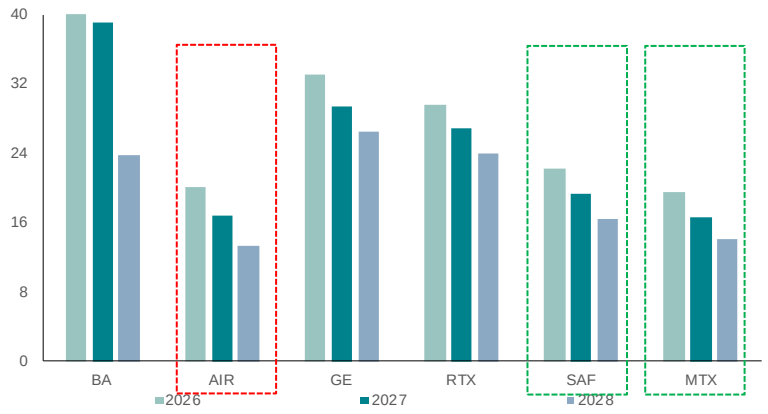
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Upside to our TPs – MTU > Safran > Airbus

Valuation overview									
KPI	**Airbus (AIR), =**			**MTU (MTX), +**			**Safran (SAF), =**		
DCF approach									
Terminal growth			2.5%			2.5%			3.0%
EBIT margin			12.5%			11.0%			13.5%
WACC			9.0%			8.2%			7.9%
TP (LC)			**210**			**425**			**350**
Upside potential			**7%**			**23%**			**6%**
			2016-25: 12x			2016-25: 15x			2016-25: 16x
Implied valuation at TP	**2026e**	**2027e**	**2028e**	**2026e**	**2027e**	**2028e**	**2026e**	**2027e**	**2028e**
EV/sales	1.8x	1.6x	1.4x	2.4x	2.1x	1.8x	3.9x	3.4x	3.0x
EV/EBITDA	15.0x	12.9x	10.6x	15.2x	13.1x	11.3x	18.8x	16.5x	14.3x
EV/EBITA	**20.2x**	**16.9x**	**13.4x**	**19.6x**	**16.7x**	**14.2x**	**22.3x**	**19.4x**	**16.4x**
P/E	**28.8x**	**24.3x**	**20.3x**	**25.0x**	**21.5x**	**19.0x**	**33.1x**	**27.0x**	**23.1x**

- We base our target prices on a DCF model
- We use a 2028-based SOTP as cross-check

EV/EBITA (left) and P/E at TP differ between US and Europe, as do trading multiples





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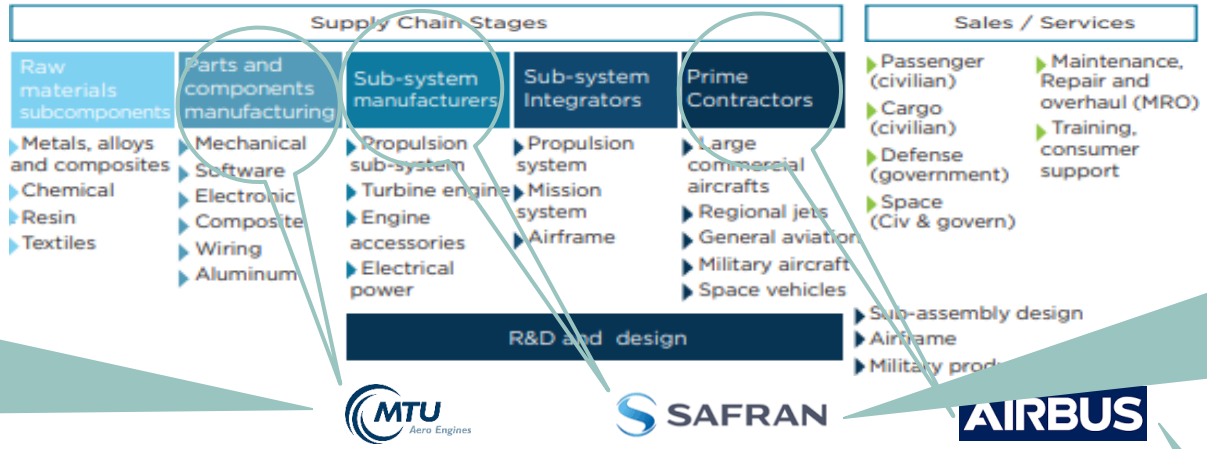
Appendix

Business model overview, consensus comparison

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Snapshot of what AIR, MTX and SAF do

MTX (+)
- Leading supplier of specialised engine parts to P&W/GE
- #1 independent MRO provider
- Growth levers: pick-up in GTF, rising AM volume



KPI	MTU Aero Engines	Safran	Airbus
Sales/ EBITA margin ('25)	EUR 8.8bn/ 19.6%	EUR 31.3bn/ 19.8%	EUR 73.4bn/ 14%
Mix: Civil / defense	2025: ≥90/≤10	2025: ~80/20	2025: ~85-90/10-15
Mix: EMEA/ AME/ APAC	2025: 19% / 71% / 10%	2025: 23% / 48% / 29%	2025: 50% / 20% / 30%
Mix: OE/Service (incl. MRO)	2025: 16% / 84%	2025: 51% / 49%	2025: 82% / 18%
Markets: Aircrafts (civil / aviation)	Not active	Not active	Vast majority of business
Markets: Engines	Specialized in turbine components	Global leader in NB via CFM JV	Not active
Markets: Other activities	Engine parts for military & ind. app., #1 independent MRO provider	Leading helicopter engine supplier, aircraft equipment & interiors	#1 in helicopters (civil / military), leading role in European Space
Offering: *Provided data reflects an excerpt from the full product suite*	OEM: MRO:	Propulsion: AC & helicopter engines E&D: landing gear, nacelles, etc Aircraft Interiors: seats, cabins, etc.	Airbus: comm. aircraft, freighters HELI: civil/parapublic, military D&S: military AC | satellites, equipme







Safran (=)
-#1 NB engine OEM (via 50-50 CFM JV)
- Leading supplier of AC equipment and interiors plus DEF
- Growth levers: strong take rates in LEAP, CFM AM strat cooperations, corp. action

AIR (=)
- Global #1 in NB & strong #2 in WB
- Leader in helis, esp Civil
- Leader in defense (fighters) & Space
- Growth levers: OB €619bn, air traffic, rearmament

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BNPP forecasts vs consensus at a glance

KPI	Airbus (AIR), =					MTU (MTX), +					Safran (SAF), =				
	2025	2026e	2027e	2028e	2029e	2025	2026e	2027e	2028e	2029e	2025	2026e	2027e	2028e	2029e
Sales															
BNPP	73,420	79,404	88,149	99,666	110,656	8,717	9,566	10,699	11,773	12,794	31,329	36,478	39,972	44,187	47,987
Consensus		81,056	90,489	101,417	111,073		9,713	10,655	11,593	12,636		36,335	40,061	43,724	46,984
Δ BNPP vs. Cons.		-2%	-3%	-2%	0%		-2%	0%	2%	1%		0%	0%	1%	2%
Adj. EBIT (CD)															
BNPP	7,128	7,713	9,009	10,870	12,657	1,351	1,432	1,629	1,831	1,998	4,787	6,606	7,456	8,560	9,487
Consensus		7,637	9,080	11,207	12,908		1,431	1,555	1,693	1,867		6,528	7,364	8,183	8,998
Δ BNPP vs. Cons.		1%	-1%	-3%	-2%		0%	5%	8%	7%		1%	1%	5%	5%
Rep. EPS (CD)															
BNPP	6.61	7.52	8.85	10.51	12.10	18.90	17.77	20.67	23.39	25.62	17.17	11.05	13.10	15.30	17.24
Consensus		7.43	8.81	10.94	12.67		17.77	19.76	22.10	24.32		10.16	12.55	14.27	15.74
Δ BNPP vs. Cons.		1%	0%	-4%	-5%		0%	5%	6%	5%		9%	4%	7%	10%
FCF (CD)															
BNPP	4,574	4,502	5,198	6,674	8,079	378	512	866	1,118	1,349	3,921	4,515	4,491	5,262	5,904
Consensus		4,937	6,500	8,377	9,681	363	567	734	920	1,121		4,861	5,234	5,919	6,484
Δ BNPP vs. Cons.	n/a	-9%	-20%	-20%	-17%	4%	-10%	18%	22%	20%	n/a	-7%	-14%	-11%	-9%

- Airbus: we are more cautious compared to consensus throughout the forecast period, largely driven by CA
- MTU: our more constructive view is based on both segments, i.e. OEM and MRO
- Safran: widely in line in the short term, but slightly more constructive in outer years (driven by PROP/ED)

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Airbus (Neutral, Target Price EUR210)

Investment case
Airbus is the global leader in commercial aviation with a >50%/~40% share in NB/WB, the leader in helicopters and among the largest defense & space OEMs in Europe. Despite its scale, conversion of its c. EUR620bn backlog has repeatedly been held back by supply chain challenges in the commercial aircraft business. Shares are close to their peak, and while there is value in the business, crystallisation might take time and require successful integration of Spirit AeroSystems. With Consensus ratings largely positive and our 27-30e adj. EBIT only about in line with Cons, we rate Airbus Neutral with a EUR210 TP, implying 13x EV/EBIT 2028e, c. 15% above its 1Y FW average since 2016.

Valuation methodology
We derive our target price from our DCF model using 2.5% terminal growth, an 11.5% EBIT margin and a WACC of just below 9% implying 13x/10x EV/EBIT 28/30e.

Risks
To the upside:
Faster ramp-up in the Commercial Aircraft segment supported by better availability of key components; HELI execution exceeding expectations; D&S momentum surprising to the upside, deal for next generation fighter jet; better profit and FCF allowing higher cash return to holders.

To the downside:
Further delay(s) / under-allocation of key CA segment supplies holding back aircraft deliveries; anaemic budget discussions in key countries (e.g. France); ramp-up in defense spending taking longer than expected; Space trailing expectations.

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MTU Aero Engines (Outperform, Target Price EUR425)

Investment case

MTU is a leading provider of components for the civil (NB: dominated by P&W's 1000G, WB: GEnx) and military engine segments, and ranks 2nd globally in MRO with a LDD market share. As the GTF powder metal engine issue is seemingly under control and momentum in shop visits for MTU's key programs is continuing, we model 9% EBITA CAGR '25-28e allowing FCF of EUR1.0bn by '28 for a 6% yield. MTU's shares have lagged peers not only YTD, but also over the last years and - at 14x EV/EBIT '27e - are trading at a 10% discount to its historical 1Y FW multiple in 2016-25. With our adj. EBIT c. 10% above cons., driven by the MRO and OEM segments alike, we rate MTX Outperform with a EUR425 TP.

Valuation methodology

We derive our target price from our DCF model using 2.7% terminal growth, a 13.5% EBIT margin and a WACC of c.8% implying 14x/11x EV/EBIT 28/30e.

Risks

To the upside:

Better-than-expected performance of GTF engines limiting dilutive impact from mix; longer- and higher-than-forecasted aftermarket contribution from legacy V2500 engine; additional MRO capacity yielding returns above guidance; combination of margin resilience and strict focus on NWC and capex driving strong FCF generation.

To the downside:

Additional performance hiccups in key programs; softening demand for spare engines; oil price staying higher for longer, putting pressure on air traffic growth, and thus triggering an acceleration in aircraft retirements; acquired stakes in MRO programs not meeting expectations; simultaneous opening of new MRO capacity resulting in poor load and related price pressure among MRO service providers.

shkreli@mit.edu Martin Shkreli 10/08/26 12:49:45 AM Massachusetts Institute of Technology

Analyst Certification and Important Disclosures

Safran (Neutral, Target Price EUR350)

Investment case
Safran is a leading supplier in aviation propulsion (commercial & military aircraft, helicopters) as well as in equipment and interiors with a >50% of service revenue share. Growth is driven by strong OE and AM demand for LEAP and CFM56, the most successful NB engine programs to-date, co-owned with GE via its 50/50 CFM JV. Its '28 targets framework looks prudent, even after the hike in February, with consensus siting 4% above the upper bound. Corporate action potential at Interiors might evolve as a catalyst, but after being up mid-teens YTD EV/EBIT '27 stands at 19x for 18% adj. EBITA CAGR 25-28e. We thus rate Safran Neutral with a EUR350 TP.

Valuation methodology
We derive our target price from our DCF model using 3.0% terminal growth, a 19.5% EBIT margin and a WACC of c.8% implying 16x/13x EV/EBIT 28/30e.

Risks
To the upside:
Faster profit contribution from LEAP engines, higher workscope in regard to CFM56 engines, and continued tailwinds from pricing; defense related growth beating expectations on swift capacity expansion; impact from portfolio pruning at INT resulting in quick margin expansion; better profit and FCF allowing higher cash return to holders.

To the downside:
Quality issues or supply chain disruptions impacting engine programs; softening demand for spare engines; oil price staying higher for longer, putting pressure on air traffic growth, and thus triggering an acceleration in aircraft retirements; increasing competition in regard to next generation aircraft engines; anaemic household discussions in France and other relevant countries; INT turnaround not coming to fruition.

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Melrose Industries (Underperform, Target Price 450p)

Investment case

Melrose's Engine business is a play on a recovering Aerospace market, both new-build and flight-time-driven aftermarket sales. Melrose's Engines RRSP portfolio is beginning to mature, bringing higher margins and ultimately stronger cash flow. Investors, however, need to understand the particularities in Melrose's accounting (IFRS15 compliant) affecting part of the RRSP portfolio, which leads to a mismatch of sales/operating profit recognition vs actual cash generation, thereby inflating current profitability. The 2029 targets point to a pickup in cash generation, but visibility seems too low to already price in 2029 FCF, and we expect a cut to the medium-term outlook alone from the adverse FX move.

Likewise, the factory incident at Garden Grove is impacting 2026 earnings and FCF expectations significantly. We are 7% below consensus profit and 36% below consensus FCF expectations and expect the impact to continue into 2027, where we are 12% and 22% below consensus expectations for EPS and FCF.

Valuation methodology

We base our valuation on a DCF model and discount projected cash flows with a discount rate of 11% reflecting the short- and medium-term uncertainty.

Risks

To the upside:

A faster-than-modelled recovery in Aerospace activity rates. Better-than-expected near-term free cash flow. Lower impact from the Garden Grove factory incident.

To the downside:

Melrose moves to acquire more Structures contracts, diluting the quality of the overall 'Engines-focused' portfolio. Cash generation story is diluted by operational issues or new engine programmes. Garden Grove incident is larger than expected and significantly derails 2026's targets.

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Rolls-Royce (Outperform, Target Price 1,750p)

Investment case

Rolls-Royce's investment case is based on a transformation of its fundamentals, focusing on optimising the returns within its business (Trent and Pearl engine families, Transport and Combat plane engines, Submarines, etc) through better pricing power, improving the durability of products in service and cost reduction. Factoring in higher utilisation (EFH) and continued strong delivery in both Civil Aerospace and Power Systems, we forecast further growth ahead. The growth momentum has already led to a couple of increases to medium-term targets, and with a strong start to the year we see potential for more upside to current market and our forecasts. Rolls-Royce demonstrates stronger growth and higher margins yet trades at a discount to peers, underpinning the attractiveness of the shares. The FCF yield is best-in-class versus direct peers.

Valuation methodology

We value the company based on a 2027 SOTP analysis. We argue that the higher growth, higher margins and best-in-class FCF yield warrant Rolls-Royce trading at a slight premium to peers.

Risks

To the upside:

An improvement in the growth momentum for Civil Aerospace and Power Systems could result in further short- and medium-term upside. Should 'Time on Wing' initiatives be phased in quicker, there could be more upside on profitability. The shares could also enjoy a re-rating if management is able to reassure investors that its base case scenario for FCF is secured. Another positive factor would be the SMR business taking off quicker than expected.

To the downside:

Apart from macroeconomic disruption that is faced by the entire industry, a key risk would come from a major wave of retirements (which we do not expect). Engine maturity is a constant risk for engine makers and performance in service of the Trent engines family need to be monitored.

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Analyst Certification and Important Disclosures

Rolls-Royce ADR (Outperform, Target Price USD23.7)

Investment case

Rolls-Royce's investment case is based on a transformation of its fundamentals, focusing on optimising the returns within its business (Trent and Pearl engine families, Transport and Combat plane engines, Submarines, etc) through better pricing power, improving the durability of products in service and cost reduction. Factoring in higher utilisation (EFH) and continued strong delivery in both Civil Aerospace and Power Systems, we forecast further growth ahead. The growth momentum has already led to a couple of increases to medium-term targets, and with a strong start to the year we see potential for more upside to current market and our forecasts. Rolls-Royce demonstrates stronger growth and higher margins yet trades at a discount to peers, underpinning the attractiveness of the shares. The FCF yield is best-in-class versus direct peers.

Valuation methodology

We value the company based on a 2027 SOTP analysis. We argue that the higher growth, higher margins and best-in-class FCF yield warrant Rolls-Royce trading at a slight premium to peers.

Risks

To the upside:

An improvement in the growth momentum for Civil Aerospace and Power Systems, could result in further short- and medium-term upside. Should 'Time on Wing' initiatives be phased in quicker, could be more upside on profitability. The shares could also enjoy a re-rating if management is able to reassure investors that its base case scenario for FCF is secured. Another positive factor would be the SMR business taking off quicker than expected.

To the downside:

Apart from macroeconomic disruption that is faced by the entire industry, a key risk would come from a major wave of retirements (which we do not expect). Engine maturity is a constant risk for engine makers and performance in service of the Trent engines family need to be monitored

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Analyst Certification

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Sebastian Growe (BNP Paribas SA), Stephan Klepp (BNP Paribas London Branch)

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Rating System

Our coverage analysts use a rating system in which they rate stocks as Outperform, Neutral, or Underperform (as defined below) relative to other companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Outperform (O/P): The stock is expected to outperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Neutral: The stock is expected to perform in line with the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Underperform (U/P): The stock is expected to underperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Under review: The rating of the stock has been placed under review after significant news. Any possible change will be confirmed as soon as possible in the form of a new broadly disseminated report.

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As of 23 September 2024, TEB Investment has changed the recommendation rating structure for Turkish stock coverage from Buy, Hold and Reduce to Outperform, Neutral and Underperform. Ratings and target prices for dates prior to 23 September 2024 used an absolute rating structure whereby the upside or downside to target price relative to the current share price determined the recommendation. TEB Investment now uses a relative recommendation structure whereby the applied rating is based on the stock's expected performance as compared to the average total return of all companies covered by the analyst or the analyst's team in Turkish stock coverage over a 12-month investment horizon. TEB Investment research reports with ratings and target prices for dates prior to 11 August 2025 were prepared and distributed without involvement of a FINRA member firm

ESG Rating Explanation and Methodology

ESG integration methodology: The BNP Paribas approach offers an alternative to mechanistic ESG scores and leverages the in-depth knowledge of our industry equity research teams by combining quantitative and qualitative factors. There are three steps to our framework; firstly, our teams build a materiality map to assess which ESG topics are most relevant to their respective industries. Secondly, for the chosen topics, companies are assessed relative to sector peers. The assessment can be based on metrics and qualitative judgements. Each company is given a one to five score per topic, with five being the best. Thirdly, based on the topic scores, and any other significant ESG factors, we identify companies in the sector as ESG Leaders, ESG Laggards or ESG Average. The definition of the ratings is shown below; they are not based on the average topic score as some topic scores can be more material than others.

ESG Leader: Relative to sector peers an ESG Leader is better positioned on the chosen ESG topics, or other relevant ESG considerations.

ESG Average: A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.

ESG Laggard: Relative to sector peers an ESG Laggard is poorly positioned on the chosen ESG topics, or other relevant ESG considerations for the stock.

Distribution of BNP Paribas' Equity Recommendations

As at 27 August 2026, BNP Paribas covered 1398 companies. The companies that, for regulatory reasons, are not accorded a rating by BNPP are excluded from these statistics. For regulatory reasons, our ratings of Outperform, Neutral and Underperform correspond respectively to Buy, Hold and Sell; the underlying signification is, however, different as our ratings are relative to the sector.

Ratings	**Stocks coverage**		**Investment Banking Services Within the previous 12 months**	
	Counts	%*	Counts	%*
Outperform (Buy)	730	52	163	22
Neutral (Hold)	465	33	105	23
Underperform (Sell)	203	15	38	19

*Please note that the percentages might not add up to 100% because of rounding.

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Sustainability is core to BNP Paribas' company purpose: "we are engaged with our clients to create a better future".

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AIRBUS

Price and Ratings chart



BNP Paribas

Historical Rating & Target Price Changes

Date & Time of Dissemination (London time)	Rating	Target Price	Closing Price	Key Changes	Person(s) Involved
30 Jul. 2026 06:13	=	EUR210.00	EUR204.00	TP up	S. Growe
13 Apr. 2026 17:02	=	EUR190.00	EUR169.50	Initiation of coverage	S. Growe
9 May 2025 17:04		-	EUR158.38	Coverage dropped	BNP Paribas Equity Research
15 Jan. 2025 16:40	+	EUR197.00	EUR153.23	TP up	T. Sanson, S. Growe
31 Jul. 2024 23:28	+	EUR183.00	EUR138.92	TP down	T. Sanson
27 Feb. 2024 06:05	+	EUR185.00	EUR145.99	TP up	T. Sanson
18 Jan. 2024 05:48	+	EUR179.00	EUR148.00	TP up	T. Sanson, S. Growe

Note:

- The closing price is based on the market close price on the last business close date.
- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.
- All ratings and target prices are valid for 12 months.

MTU AERO ENGINES

Price and Ratings chart



BNP Paribas

Historical Rating & Target Price Changes

Date & Time of Dissemination (London time)	Rating	Target Price	Closing Price	Key Changes	Person(s) Involved
30 Jul. 2026 18:10	+	EUR425.00	EUR358.20	TP up	S. Growe
13 Apr. 2026 17:02	+	EUR410.00	EUR327.70	Initiation of coverage	S. Growe
9 May 2025 17:04		-	EUR326.50	Coverage dropped	BNP Paribas Equity Research
15 Jan. 2025 16:40	+	EUR372.00	EUR323.00	TP up	T. Sanson, S. Growe
29 Nov. 2024 17:22	+	EUR361.00	EUR322.20	TP up	T. Sanson
1 Aug. 2024 15:59	+	EUR295.00	EUR260.10	TP up	T. Sanson
18 Jan. 2024 05:46	+	EUR279.00	EUR205.90	Rating up, TP up	T. Sanson

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SAFRAN

Price and Ratings chart

Historical Closing Price & Target Price



BNP Paribas

Historical Rating & Target Price Changes

Date & Time of Dissemination (London time)	Rating	Target Price	Closing Price	Key Changes	Person(s) Involved
28 Jul. 2026 18:32	=	EUR350.00	EUR343.00	TP up	S. Growe
23 Apr. 2026 18:32	=	EUR320.00	EUR279.00	TP down	S. Growe
13 Apr. 2026 17:02	=	EUR330.00	EUR313.30	Initiation of coverage	S. Growe
9 May 2025 17:04		-	EUR250.20	Coverage dropped	BNP Paribas Equity Research
15 Jan. 2025 16:40	+	EUR258.00	EUR222.30	TP up	T. Sanson, S. Growe
12 Dec. 2024 06:00	+	EUR246.00	EUR208.10	TP up	T. Sanson
3 Dec. 2024 06:06	+	EUR237.00	EUR227.30	TP up	T. Sanson
8 Oct. 2024 06:21	+	EUR223.00	EUR204.40	TP down	T. Sanson
31 Jul. 2024 18:44	+	EUR228.00	EUR203.10	TP up	T. Sanson
15 Feb. 2024 21:40	+	EUR217.00	EUR183.16	TP up	T. Sanson
18 Jan. 2024 05:48	+	EUR208.00	EUR171.04	TP up	T. Sanson, S. Growe

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Analyst Certification and Important Disclosures

MELROSE INDUSTRIES

Price and Ratings chart

Historical Closing Price & Target Price



Historical Rating & Target Price Changes

Date & Time of Dissemination (London time)	Rating	Target Price	Closing Price	Key Changes	Person(s) Involved
4 Aug. 2026 05:19	-	450.00GBP	480.70GBP	TP down	S. Klepp
27 May 2026 06:11	-	470.00GBP	482.20GBP	Rating down, TP down	S. Klepp
20 Apr. 2026 05:39	=	570.00GBP	567.20GBP	Initiation of coverage	S. Klepp
16 Apr. 2026 16:50		-	539.60GBP	Coverage dropped	J. Mounsey
1 Aug. 2025 17:14	=	565.00GBP	537.80GBP	TP up	J. Mounsey
7 Jul. 2025 18:06	=	530.00GBP	525.60GBP	TP up	J. Mounsey
6 May 2025 06:02	=	485.00GBP	448.70GBP	TP down	J. Mounsey, A. Koski, M. Borrega
7 Mar. 2025 18:19	=	570.00GBP	488.80GBP	TP down	J. Mounsey
27 Jan. 2025 19:19	=	595.00GBP	596.40GBP	TP up	J. Mounsey
27 Nov. 2024 19:23	=	510.00GBP	568.00GBP	TP up	J. Mounsey, A. Koski, M. Borrega, B. Gjani
5 Aug. 2024 07:33	=	500.00GBP	451.90GBP	TP down	J. Mounsey
8 Mar. 2024 19:58	=	625.00GBP	602.00GBP	TP up	J. Mounsey
6 Dec. 2023 07:08	=	540.00GBP	536.20GBP	Rating down	J. Mounsey, A. Koski, M. Borrega, B. Gjani

Note:

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- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.
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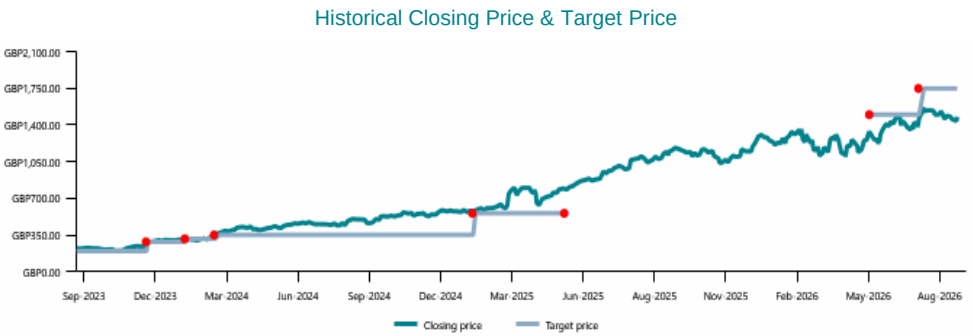
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ROLLS-ROYCE

Price and Ratings chart



BNP Paribas

Historical Rating & Target Price Changes

Date & Time of Dissemination (London time)	Rating	Target Price	Closing Price	Key Changes	Person(s) Involved
3 Aug. 2026 06:40	+	1750.00GBP	1506.80GBP	TP up	S. Klepp
29 May 2026 05:34	+	1500.00GBP	1314.60GBP	Initiation of coverage	S. Klepp, S. Growe
9 May 2025 17:04		-	794.00GBP	Coverage dropped	BNP Paribas Equity Research
15 Jan. 2025 16:40	=	557.00GBP	563.40GBP	TP up	T. Sanson, S. Growe
23 Feb. 2024 17:13	=	350.00GBP	353.10GBP	TP up	T. Sanson
18 Jan. 2024 05:48	=	313.00GBP	306.50GBP	TP up	T. Sanson, S. Growe
30 Nov. 2023 07:29	=	285.00GBP	268.80GBP	TP up	T. Sanson

Note:

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- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.
- All ratings and target prices are valid for 12 months.

ROLLS-ROYCE ADR

Price and Ratings chart



BNP Paribas

Historical Rating & Target Price Changes

Date & Time of Dissemination (London time)	Rating	Target Price	Closing Price	Key Changes	Person(s) Involved
3 Aug. 2026 06:40	+	USD23.65	USD20.27	TP up	S. Klepp
29 May 2026 05:34	+	USD20.25	USD17.73	Initiation of coverage	S. Klepp, S. Growe

Note:

- The closing price is based on the market close price on the last business close date.
- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.
- All ratings and target prices are valid for 12 months.

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